



STRATEGIC ORGANISATIONAL MANAGEMENT

Self-Instructional Manual

The Self-Instructional Manual (SIM) for Strategic Organisational Management (MBA6643) is designed to provide a comprehensive framework encompassing strategic analysis, strategy formulation and implementation, and business process management, within both organisational behaviour and global environmental contexts. It emphasises the integration of strategic thinking with organisational effectiveness.

About This Manual

This manual comprises eight key topics that cover critical areas of strategic organisational management, ranging from foundational strategic analysis to leadership and business process management. Each topic includes learning outcomes, core concepts, real-world examples with Malaysian and ASEAN context, self-reflection elements, and assessment questions to help learners apply strategic principles in practice. The SIM promotes independent learning and critical engagement with strategic issues in organisational contexts.

MBA6643 | Major (Core) | Credit 3 | 120 SLT | Semester 2

Lecturers: Prof. Dr. Dato Shazali Abu Mansor; Prof. Dr. Dzulzalani bin Eden; Prof. Dr. Frank Kiong

INSPIRING MINDS, SHAPING FUTURE

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PREFACE

STRATEGIC ORGANISATIONAL MANAGEMENT

(MBA6643)

This course provides a comprehensive framework that integrates strategic management with organisational behaviour and business process management. It is designed to equip postgraduate students with the analytical tools and strategic mindset necessary to navigate complex business environments, particularly within the Malaysian and ASEAN context.

The Strategic Organisational Management course is built on the premise that effective management requires not only strategic insight but also an understanding of how organisations function at the human, structural, and process levels. Students will explore how strategies are formulated, implemented, and evaluated, and how organisational behaviour — encompassing leadership, culture, communication, and motivation — enables or constrains strategic execution.

The course is structured around eight learning units. The first four units focus on the strategic dimension: strategic management foundations, environmental analysis, levels of strategies, and strategy formulation. The remaining four units address the organisational and process dimensions: current issues in organisational behaviour, organisational processes and culture, leadership theories and practice, and business process management.

Each learning unit is structured to promote independent study and critical thinking. Real-world cases from Malaysian companies such as Maybank, Petronas, AirAsia, Proton, and CIMB, as well as ASEAN regional examples, are integrated throughout to contextualise theoretical frameworks. Students are encouraged to engage actively with self-reflection exercises and assessment questions included at the end of each topic.

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Course Information

Course Code	MBA6643
Course Title	Strategic Organisational Management
Credit Value	3
Total Student Learning Time (SLT)	120 hours
Classification	Major Core
Semester	2
Pre-requisite	None

Course Synopsis

This course provides a comprehensive framework encompassing strategic analysis, formulation, implementation, and business process management (BPM), as well as the study of organisational behaviour within a global environment. It integrates strategic management theories with human behaviour concepts to equip students with tools to lead organisations effectively in dynamic and competitive environments.

Course Learning Outcomes (CLO)

- CLO1: Evaluate theories and their impact on management practices in strategic and organisational contexts (C4, PLO1)
- CLO2: Identify complex problems by providing well-reasoned recommendations to business organisations (C4, PLO2)
- CLO3: Demonstrate sustained commitment to BPM principles in improving organisational effectiveness and decision-making (A5, PLO9)

Assessment

Component	Type	Weightage
CA1	Individual Assignment	35%
CA2	Case Study Analysis	35%
Final Assessment	Individual Assignment	30%

TOPIC

1

STRATEGIC MANAGEMENT

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LEARNING OUTCOMES

By the end of this topic you should be able to:

- Explain the concept and importance of strategic management in organisations
- Evaluate effective governance frameworks and their impact on corporate management
- Analyse value creation mechanisms and good governance practices
- Apply strategic management principles to Malaysian and ASEAN business contexts



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LO Learning Objectives

By the end of this topic you should be able to:

- **Evaluate the core principles of strategic management** and explain how governance frameworks guide organisational direction.
- **Analyse how corporate management and control systems** support value creation and competitive advantage.
- **Apply good governance principles** to real-world Malaysian and Sarawak business contexts.
- **Distinguish between strategic leadership and operational management** in complex organisational environments.

1 Overview of Strategic Management

Strategic management is an ongoing, continuous process through which an organisation formulates, implements, and evaluates cross-functional decisions that enable the organisation to achieve its long-term objectives. It serves as the backbone of organisational direction, ensuring that all departments and functions work in a coordinated manner towards a unified set of goals. Unlike day-to-day operational management, strategic management is concerned with the long-term positioning and competitive standing of the organisation in its external environment.

The strategic management process comprises three core stages. The first stage, strategy formulation, involves developing the organisation's vision and mission, identifying external opportunities and threats, determining internal strengths and weaknesses, establishing long-term objectives, generating alternative strategies, and selecting particular strategies to pursue. The second stage, strategy implementation, requires the firm to establish annual objectives, devise policies, motivate employees, and allocate resources to execute the formulated strategies. The third stage, strategy evaluation, involves reviewing internal and external factors that form the basis of current strategies, measuring performance, and taking corrective actions.

The importance of strategic management for competitive advantage cannot be overstated. Organisations that engage in formal strategic planning consistently outperform those that do not. In the Malaysian business context, where rapid technological change, regional integration through ASEAN, and evolving regulatory frameworks present both challenges and opportunities, strategic management provides the framework for navigating complexity. Companies like Petronas, Maybank, and Tenaga Nasional have long relied on formal strategic management processes to maintain their competitive positions domestically and regionally.

It is important to distinguish strategic management from operational management. While operational management focuses on the efficient execution of day-to-day activities — such as production scheduling, customer service delivery, and inventory control — strategic management focuses on positioning the organisation for long-term success by making choices about which markets to compete in, which products or services to offer, and how to create and sustain competitive advantage. Both are essential, but they operate at different levels of the organisational hierarchy and with different time horizons.

Stage	Key Activities	Outcomes
Strategy Formulation	Vision/mission development, SWOT analysis, identifying strategic options, selecting strategies	A clear strategic plan with defined long-term objectives and chosen strategies
Strategy Implementation	Allocating resources, establishing policies, restructuring, motivating staff, managing change	Operational plans, budgets, and programmes aligned with the chosen strategy
Strategy Evaluation	Reviewing assumptions, measuring performance, benchmarking, corrective actions	Feedback mechanisms and strategy refinements ensuring continued alignment with goals

Self-Reflection



1. How does strategic management differ from operational management in a Malaysian public-listed company? Using an example from Bursa Malaysia, illustrate how both levels of management contribute to the company's overall performance.

2

Effective Governance Frameworks

Corporate governance is defined as the system of rules, practices, and processes by which a company is directed and controlled. It encompasses the mechanisms through which companies, and those in control, are held to account. Good corporate governance is essential for building investor confidence, protecting stakeholder interests, and ensuring the long-term sustainability of businesses. It provides the structural framework for setting company objectives, the means for achieving those objectives, and the means for monitoring performance.

The four key principles of effective corporate governance are: Accountability, which ensures that management is accountable to the board and the board is accountable to shareholders and other stakeholders; Transparency, which requires that material information about the company is disclosed accurately and in a timely manner; Fairness, which demands equitable treatment of all shareholders, including minority shareholders; and Responsibility, which obligates the board and management to act in the best interests of the company and its stakeholders. These principles form the cornerstone of sound corporate governance in Malaysia and across ASEAN.

The Malaysian Code on Corporate Governance (MCCG) 2021, issued by the Securities Commission Malaysia, sets out best practices for listed companies on Bursa Malaysia. The MCCG 2021 is structured around three key thrusts: Board Leadership and Effectiveness; Effective Audit and Risk Management; and Integrity in Corporate Reporting and Meaningful Relationship with Stakeholders. The Code adopts a "Practice, Explain or Adopt an Alternative Practice" (PEAAP) approach, providing flexibility while maintaining high governance standards. Companies are required to disclose their adoption of the practices or explain their alternative approaches.

At the ASEAN level, the ASEAN Corporate Governance Scorecard (ACGS) provides a regional benchmark for corporate governance among publicly listed companies. Malaysia has consistently performed well in ACGS rankings, with several Bursa Malaysia-listed companies recognised as top ASEAN public listed companies (PLCs). The scorecard assesses governance across five areas: Rights of Shareholders; Equitable Treatment of Shareholders; Role of Stakeholders; Disclosure and Transparency; and Responsibilities of the Board.

Leading Malaysian companies such as Maybank (Malayan Banking Berhad) and Petronas (Petroliam Nasional Berhad) serve as exemplars of strong corporate governance practice. Maybank's governance framework is guided by the Board Charter, Board Committees' Terms of Reference, and an integrated risk management approach aligned with Bank Negara Malaysia's Corporate Governance Policy. Petronas, as a state-owned enterprise, applies the principles of the MCCG 2021 voluntarily and adheres to the Putrajaya Committee guidelines, demonstrating that governance principles can be applied across both publicly listed and government-linked companies.

Principle	Definition	Application in Malaysia
Accountability	Management is accountable to the board; the board is accountable to shareholders	Bursa Malaysia requires PLCs to have audit committees and independent directors to hold management accountable
Transparency	Material information is disclosed accurately and in a timely manner	Annual reports, quarterly financial results, and Bursa announcements ensure transparency for investors
Fairness	Equitable treatment of all shareholders, including minority shareholders	Minority shareholder watchdog (MSWG) monitors related-party transactions and advocates fair treatment

Responsibility	Board and management act in the best interests of the company and stakeholders	MCCG 2021 Practice 1.2 requires the board to set ethical standards and culture across the organisation
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3 Corporate Management and Control

The Board of Directors plays a central role in corporate management and control. Its primary responsibilities include setting the strategic direction of the company, overseeing management performance, ensuring financial integrity, managing risk, and protecting shareholder value. The board acts as a steward of the company's assets and is entrusted with acting in the best interests of shareholders and other stakeholders. In Malaysia, MCCG 2021 Practice 4.1 recommends that at least half of the board comprise independent directors, ensuring that management decisions are subject to objective scrutiny.

Corporate controls can be classified into internal and external mechanisms. Internal controls include the board of directors, audit committees, internal audit functions, management reporting systems, and codes of conduct. These mechanisms work within the organisation to monitor behaviour and ensure compliance with policies and strategies. External controls, on the other hand, include capital market pressures, regulatory bodies (such as the Securities Commission Malaysia and Bank Negara Malaysia), external auditors, credit rating agencies, and legal systems. The combination of internal and external controls creates a comprehensive governance infrastructure.

Agency theory, developed by Jensen and Meckling (1976), provides the theoretical foundation for understanding the relationship between shareholders (principals) and managers (agents). The principal-agent problem arises because the interests of managers may not always align with those of shareholders. Managers may pursue personal goals — such as empire-building, excessive compensation, or risk avoidance — that are not in the best interests of shareholders. Corporate governance mechanisms are designed to mitigate agency costs and align managerial

incentives with shareholder interests through mechanisms such as performance-linked remuneration, share ownership schemes, and board oversight.

Audit committees are a critical governance mechanism, providing independent oversight of financial reporting, internal controls, and external audit processes. In Malaysia, all Bursa Malaysia Main Market listed companies are required to have an audit committee comprising at least three members, with a majority being independent directors. Risk management frameworks, such as the Enterprise Risk Management (ERM) framework, provide a structured approach to identifying, assessing, managing, and monitoring risks across the organisation. The Committee of Sponsoring Organisations (COSO) ERM framework is widely adopted by Malaysian listed companies.

Type	Description	Example
Internal Controls — Board of Directors	Oversees management, sets strategic direction, approves major decisions	Board sub-committees (Audit, Risk, Remuneration, Nomination) in Maybank
Internal Controls — Audit Committee	Independent oversight of financial reporting, internal audit, and external audit	CIMB Group's Audit Committee reviews quarterly financial results before disclosure
External Controls — Regulatory Bodies	Securities Commission, Bursa Malaysia, Bank Negara enforce compliance with laws and listing rules	SC Malaysia's enforcement actions against market misconduct and insider trading
External Controls — External Auditors	Independent professional firms verify accuracy of financial statements	Big Four firms (PwC, Deloitte, EY, KPMG)

		audit major Malaysian listed companies
Market Controls — Capital Markets	Share price movements signal market's assessment of management performance	Hostile takeover threats discipline management to maximise shareholder value

4 Value Creation

Value creation is the fundamental purpose of any business organisation. Michael Porter's Value Chain model, introduced in his seminal work "Competitive Advantage" (1985), provides a systematic framework for analysing the activities through which a firm creates value for its customers. The value chain divides a firm's activities into two categories: primary activities and support activities. Primary activities — inbound logistics, operations, outbound logistics, marketing and sales, and service — are directly involved in the creation and delivery of a product or service. Support activities — firm infrastructure, human resource management, technology development, and procurement — underpin the primary activities and enable them to occur.

The strategic significance of the value chain lies in its ability to identify which activities create the most value and where costs are incurred. By analysing each activity individually and in combination, managers can identify sources of competitive advantage — areas where the firm performs activities better or more efficiently than competitors. A firm achieves competitive advantage by performing these strategically important activities more cheaply or better than its competitors.

Porter and Kramer (2011) extended the concept of value creation with the "Creating Shared Value" (CSV) framework, which argues that companies can simultaneously create economic value and social value. Unlike Corporate Social Responsibility (CSR), which treats social issues as peripheral to the core business, CSV integrates social and environmental concerns

into the strategic heart of the firm. Companies that embrace CSV reconceive their products and markets, redefine productivity in the value chain, and enable local cluster development. This represents a higher form of capitalism in which the interests of business and society are aligned.

Axiata Group Berhad provides an instructive Malaysian example of value creation through digital transformation. As one of ASEAN's largest telecommunications groups, Axiata has pursued a deliberate strategy of digital transformation to create value beyond traditional telecoms services. Through its "Advancing Asia" strategy, Axiata has invested in digital infrastructure, digital financial services (through Boost, its e-wallet platform), and the development of digital talent. The group's digital transformation has enabled it to create new revenue streams, improve operational efficiency through AI and automation, and deliver shared value to the communities it serves across Malaysia, Indonesia, Bangladesh, Sri Lanka, and Nepal.

Self-Reflection



2. Analyse how a Malaysian company you know creates value through its primary activities as defined in Porter's Value Chain model. Identify at least two primary activities and explain how they contribute to the company's competitive advantage.

5 Good Governance Principles

Environmental, Social, and Governance (ESG) integration has become a central pillar of good corporate governance in Malaysia and globally. ESG represents a framework for evaluating corporate behaviour across three dimensions: environmental responsibility (how a company manages its ecological footprint), social responsibility (how it manages relationships with employees, suppliers, customers, and communities), and governance (how the company is led and controlled). Investors, regulators, and stakeholders increasingly use ESG criteria to assess risk, allocate capital, and evaluate corporate performance.

The debate between stakeholder theory and shareholder theory is central to understanding good governance. Shareholder theory, associated with Milton Friedman, argues that the sole responsibility of business is to maximise profits for shareholders within legal limits. In contrast, stakeholder theory, developed by R. Edward Freeman, argues that companies have obligations to all groups affected by their activities — including employees, customers, suppliers, communities, and the environment. The stakeholder approach has gained significant traction in recent decades, with major companies and institutional investors increasingly recognising that long-term shareholder value is best created by serving all stakeholders well.

Corporate Social Responsibility (CSR) in the ASEAN context reflects a blend of Western governance practices and Asian values. In Malaysia, CSR activities are guided by the Bursa Malaysia Sustainability Reporting Framework, which requires all Main Market listed companies to publish an annual sustainability statement. The framework is aligned with the Global Reporting Initiative (GRI) standards and covers material ESG issues including climate risk, labour practices, community engagement, and anti-corruption measures. Major Malaysian companies such as Tenaga Nasional, Sime Darby, and IHH Healthcare have published comprehensive sustainability reports demonstrating their commitment to ESG principles.

The Bursa Malaysia Sustainability Reporting Framework, launched in 2015 and enhanced in subsequent years, mandates that listed companies disclose their sustainability strategy, governance structure, material ESG risks and opportunities, and performance metrics. The Framework encourages companies to apply the principle of materiality to identify and report on ESG issues that are most significant to their business and stakeholders. This approach ensures that sustainability reporting is relevant, decision-useful, and comparable across industries.

Dimension	Key Concerns	Malaysian Example
Environmental (E)	Carbon emissions, energy efficiency, water usage, waste management, biodiversity, climate risk	Tenaga Nasional's commitment to achieving net-zero carbon emissions by 2050 and investment in renewable energy
Social (S)	Employee welfare, labour rights, diversity and inclusion, community development, supply chain ethics	Maybank's "Reach Independence & Sustainable Entrepreneurship" (RISE) programme supporting micro-entrepreneurs
Governance (G)	Board composition, anti-corruption, executive remuneration, transparency, shareholder rights	Petronas's adoption of MCCG 2021 principles and publication of comprehensive annual reports with full governance disclosures

6 Strategic Management in Practice

The McKinsey 7-S Framework, developed by Tom Peters and Robert Waterman at McKinsey & Company in the late 1970s, provides a practical tool for analysing organisational effectiveness. The framework identifies seven internal elements that need to be aligned for an organisation to perform effectively: Strategy (the plan for achieving competitive advantage), Structure (how the company is organised), Systems (the processes and procedures that guide work), Staff (the people and their capabilities), Skills (the actual competencies of the organisation), Style (the leadership approach and organisational culture), and Shared Values (the central beliefs and attitudes that guide behaviour). The 7-S Framework is particularly useful for diagnosing organisational problems and planning change management initiatives.

The Balanced Scorecard (BSC), introduced by Robert Kaplan and David Norton in 1992, is one of the most widely adopted strategic management tools globally. The BSC translates an organisation's vision and strategy into a comprehensive set of performance measures across four perspectives: Financial (how do we look to shareholders?), Customer (how do customers see us?), Internal Business Processes (what must we excel at?), and Learning and Growth (can we continue to improve and create value?). By measuring performance across all four perspectives, the BSC prevents the sub-optimisation that can occur when managers focus exclusively on short-term financial metrics.

Strategic drift is a phenomenon that occurs when an organisation's strategy gradually loses alignment with the changes taking place in its external environment. Typically, the pace of strategic change lags behind the pace of environmental change, leading to a widening gap between strategy and reality. Johnson, Scholes, and Whittington (2008) identified strategic drift as one of the most common and dangerous strategic failures. Organisations can avoid strategic drift by regularly reviewing the assumptions underlying their strategies, monitoring environmental changes through systematic PESTEL and competitor analysis, fostering a culture of strategic awareness and adaptability, and willingness to undertake transformational change when incremental changes are insufficient.

AirAsia provides a compelling Malaysian case study in strategic pivots and adaptation. During the COVID-19 pandemic (2020-2022), AirAsia faced an existential crisis as passenger aviation was virtually shut down globally. The company responded with bold strategic pivots: accelerating the development of its digital ecosystem (AirAsia Digital/Capital A), launching an on-demand logistics business (Teleport), and expanding its food delivery and e-commerce platforms. By 2023-2024, Capital A had repositioned itself as a digital travel and lifestyle company with aviation as one of several business verticals, demonstrating the strategic management principle that crises can catalyse transformation and the development of entirely new competitive positions.

SUMMARY

Strategic management is a continuous process of formulating, implementing, and evaluating cross-functional decisions to achieve long-term organisational objectives, encompassing three core stages: strategy formulation, strategy implementation, and strategy evaluation.

Effective corporate governance, guided by the Malaysian Code on Corporate Governance (MCCG) 2021 and the ASEAN Corporate Governance Scorecard, provides the framework of accountability, transparency, fairness, and responsibility within which strategic management operates.

Value creation — whether through Porter's Value Chain, the Shared Value concept, or ESG integration — is the ultimate purpose of strategic management, requiring organisations to align internal resources and capabilities with external opportunities and stakeholder expectations.

Practical strategic management tools such as the McKinsey 7-S Framework, the Balanced Scorecard, and case studies from Malaysian companies like AirAsia and Axiata demonstrate that strategic management is a dynamic, adaptive discipline essential for long-term organisational success.

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Multiple Choice Questions (MCQS):

1. Which of the following best describes the process of strategic management?
 - A. A one-time planning exercise conducted at the start of the financial year
 - B. An ongoing process of formulating, implementing, and evaluating cross-functional decisions
 - C. The daily operational management of production and service delivery activities
 - D. A financial budgeting process aligned with annual profit targets

2. The Malaysian Code on Corporate Governance (MCCG) 2021 adopts which approach to corporate governance compliance?
 - A. Mandatory compliance with all practices without exception
 - B. Voluntary adoption with no disclosure requirements
 - C. "Practice, Explain or Adopt an Alternative Practice" (PEAAP)
 - D. Rule-based compliance enforced through criminal sanctions

3. According to Porter's Value Chain model, which of the following is classified as a PRIMARY activity?
 - A. Human resource management
 - B. Technology development
 - C. Procurement
 - D. Outbound logistics

4. The principal-agent problem in corporate governance refers to:
 - A. The conflict between a company's domestic and international operations
 - B. The divergence of interests between shareholders (principals) and managers (agents)
 - C. The tension between board members and external auditors
 - D. The regulatory conflict between the Securities Commission and Bursa Malaysia

5. The Balanced Scorecard (Kaplan & Norton) measures organisational performance across how many perspectives?

- A. Two perspectives: financial and non-financial
- B. Three perspectives: customer, process, and learning
- C. Four perspectives: financial, customer, internal processes, and learning & growth
- D. Five perspectives including environmental and social dimensions

Questions for Discussion

1. Using a Malaysian public-listed company of your choice, analyse how the three stages of the strategic management process — formulation, implementation, and evaluation — are evident in the company's recent strategic decisions. Provide specific examples for each stage.
2. Critically evaluate the relevance of the Malaysian Code on Corporate Governance (MCCG) 2021 for small and medium enterprises (SMEs) that are not listed on Bursa Malaysia. Should SMEs adopt MCCG principles voluntarily? Justify your answer.
3. Compare and contrast stakeholder theory and shareholder theory in the context of a Malaysian company's approach to ESG reporting under the Bursa Malaysia Sustainability Reporting Framework. Which theory provides a more robust foundation for long-term value creation?

END OF TOPIC

TOPIC

2

ENVIRONMENTAL SCREENING AND SCANNING

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LEARNING OUTCOMES

By the end of this topic you should be able to:

- Conduct external environmental analysis using PESTEL framework
- Perform industry and competitive analysis using Porter's Five Forces
- Assess organisational resources using VRIN framework and RBV
- Integrate internal and external analyses using SWOT



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LO Learning Objectives

By the end of this topic you should be able to:

- **Apply PESTEL analysis** to assess the macro-environment of a business organisation.
- **Use Porter's Five Forces framework** to evaluate industry competitiveness and strategic positioning.
- **Assess a company's internal resources and capabilities** using VRIN/VRIO frameworks.
- **Synthesise external and internal analyses** to identify strategic opportunities and threats.

1 Overview of Environmental Analysis

Environmental analysis is the systematic process by which organisations gather, analyse, and interpret information about the external and internal environments in which they operate. The primary purpose of environmental analysis is to identify opportunities that the organisation can exploit to achieve competitive advantage and threats that it must manage or mitigate to protect its position. Without a thorough understanding of the environment, strategic decisions are made on the basis of incomplete information, increasing the risk of strategic failure.

Environmental analysis operates at three distinct levels. The first is the macro-environment, which encompasses broad societal forces that affect all organisations across all industries — these are captured in the PESTEL framework (Political, Economic, Social, Technological, Environmental, Legal). The second level is the industry environment, which focuses on the competitive forces operating within a specific industry — analysed through tools such as Porter's Five Forces and competitor analysis frameworks. The third level is the internal environment, which examines the organisation's own resources, capabilities, and competencies — analysed through frameworks such as the Resource-Based View (RBV) and VRIN analysis.

The continuous monitoring of the environment is essential because business environments are not static. Macro-economic conditions change, new technologies emerge, consumer preferences evolve, regulations are revised, and new competitors enter markets. Organisations that engage in continuous environmental scanning — the regular, systematic collection and interpretation of environmental information — are better positioned to anticipate change, adapt strategies proactively, and avoid being caught off-guard by disruptive developments. In Malaysia, the rapid development of the digital economy, the impacts of geopolitical shifts on trade, and the evolving regulatory landscape around sustainability all underscore the importance of continuous environmental monitoring.

2 External Analysis: PESTEL Framework

The PESTEL framework is the most widely used tool for macro-environmental analysis. It categorises macro-environmental factors into six dimensions: Political, Economic, Social, Technological, Environmental, and Legal. Each dimension represents a set of external forces that can create opportunities or threats for organisations. The PESTEL analysis provides a comprehensive scan of the broad environment, enabling strategists to identify key trends and drivers of change that are most relevant to their industry and organisation.

In the Malaysian and ASEAN context, several PESTEL factors are particularly salient. Malaysia's political environment is characterised by a parliamentary democracy with a constitutional monarchy, where government policy plays a significant role in shaping business conditions through the Malaysia Plans (currently the 12th Malaysia Plan 2021-2025), sector-specific policies, and government-linked company (GLC) frameworks. The economic environment reflects Malaysia's status as an upper-middle-income country transitioning towards a high-income nation, with growth driven by manufacturing, services, and increasingly by the digital economy. The Digital Economy Blueprint (MyDIGITAL) and Malaysia Digital (MD) status programme represent key policy initiatives shaping the technological environment for businesses.

PESTEL in the Sarawak Context

Sarawak presents a distinctive macro-environmental profile that differs significantly from Peninsular Malaysia. Politically, the state government under Premier Abang Johari Openg has pursued an assertive state autonomy strategy, including control of natural gas distribution and the takeover of MASwings to establish a regional airline. Economically, Sarawak's GDP is heavily influenced by oil and gas (managed by PETROS, the state's own oil company), hydroelectric power (Sarawak Energy Berhad), and a rapidly growing digital economy sector. Socially, Sarawak's multicultural and multi-ethnic society — comprising Iban, Chinese, Malay, Bidayuh, Orang Ulu, and other communities — creates unique considerations for workforce diversity and consumer behaviour. Technologically, the Sarawak Digital Economy Blueprint 2030 drives adoption of Industry 4.0 technologies, with SDEC (Sarawak Digital Economy Corporation) as the key implementing agency. Environmentally, Sarawak faces pressure to balance economic development with forest conservation, biodiversity protection, and carbon commitments. Legally, Sarawak's unique constitutional position — with rights over natural resources under the Malaysia Agreement 1963 (MA63) — creates distinctive legal and regulatory dynamics for businesses operating in the state.

Factor	Key Questions	Malaysian / ASEAN Example
Political	What are the government's policies and priorities? How stable is the political environment? What are the trade policies and international relations?	Malaysia's 12th Malaysia Plan emphasises economic transformation; ASEAN Free Trade Area (AFTA) reduces tariff barriers among member states
Economic	What is the GDP growth rate? What are inflation, interest rates, and exchange rates? What is the income distribution?	Malaysia's GDP growth of approximately 4-5% per annum; ringgit volatility affecting import costs; rising household income driving consumption

Factor	Key Questions	Malaysian / ASEAN Example
Social	What are the demographic trends? What are the changing consumer lifestyles and attitudes? How is urbanisation proceeding?	Malaysia's ageing population; growing middle class; increasing digital literacy among youth; Halal economy opportunities in ASEAN
Technological	What are the key technological innovations? How is digitalisation changing industries? What is the state of R&D investment?	Malaysia's MyDIGITAL blueprint; growth of fintech, e-commerce, and AI adoption; 5G rollout by Telekom Malaysia
Environmental	What are the environmental regulations? What are the climate change implications? What are stakeholder expectations on sustainability?	Malaysia's commitment to net-zero emissions by 2050; Bursa Malaysia sustainability reporting requirements; palm oil sustainability certification (MSPO)
Legal	What are the relevant laws and regulations? What are the employment laws? What are the data protection requirements?	Companies Act 2016; Personal Data Protection Act 2010; Employment Act amendments; Competition Act 2010 governing anti-competitive practices

Self-Reflection



1. Sarawak is pursuing a Post-Covid-19 Development Strategy (PCDS 2030) to become a developed region by 2030. Select any industry in Sarawak (e.g., digital economy, oil & gas, tourism, or timber) and identify two key PESTEL factors that will significantly influence its growth in 2025-2030. Provide specific examples from Sarawak's policy environment.

Porter's Five Forces framework, published in his 1980 work "Competitive Strategy", provides a structured approach to analysing the competitive intensity and attractiveness of an industry. Porter argued that the nature and intensity of competition in an industry is a function of five forces: (1) the threat of new entrants, (2) the bargaining power of suppliers, (3) the bargaining power of buyers, (4) the threat of substitute products or services, and (5) the intensity of competitive rivalry among existing competitors. Together, these five forces determine the average profitability of an industry and therefore the long-run rate of return that firms in the industry can expect.

The threat of new entrants reflects how easy or difficult it is for new competitors to enter an industry. When barriers to entry are high — such as large capital requirements, strong brand loyalty, proprietary technology, economies of scale, or restrictive government policies — the threat of new entrants is low and existing competitors can maintain higher profit margins. Conversely, when entry barriers are low, the constant threat of new competition forces existing firms to keep prices low and continuously innovate, reducing profitability.

The bargaining power of suppliers determines the extent to which suppliers can impose price increases or reduce quality, thereby squeezing the profit margins of companies in the industry. Supplier power is high when there are few suppliers relative to buyers, when the product is critical to the buyer's operations, when switching costs are high, or when suppliers can credibly threaten to integrate forward. The bargaining power of buyers mirrors this analysis from the demand side: buyer power is high when buyers are concentrated, when they purchase in large volumes, when the product is standardised, or when buyers can credibly threaten to integrate backward.

The competitive rivalry within an industry is influenced by factors such as the number and balance of competitors, industry growth rate, fixed costs, product differentiation, switching costs, exit barriers, and strategic stakes. High competitive rivalry leads to price competition, frequent product launches, advertising wars, and generally lower profitability.

The Malaysian e-commerce industry, featuring intense competition among Shopee, Lazada, TikTok Shop, and Zalora, exemplifies high competitive rivalry in the digital economy. Simultaneously, Grab's dominance in ride-hailing and food delivery across Southeast Asia illustrates how first-mover advantages and network effects can moderate rivalry.

Force	Key Determinants	Example in Malaysian E-Commerce
Threat of New Entrants	Capital requirements, brand loyalty, economies of scale, access to distribution, regulatory barriers	Moderate — low capital needed to list on platforms, but high to build own platform; TikTok Shop entered rapidly by leveraging existing social media infrastructure
Bargaining Power of Suppliers	Concentration of suppliers, uniqueness of products, switching costs, forward integration threat	Low to moderate — many small merchants compete for platform space; large brands (e.g., Samsung, Nike) have more negotiating power
Bargaining Power of Buyers	Buyer concentration, price sensitivity, product standardisation, switching costs	High — consumers can compare prices instantly across platforms; low switching costs; price-sensitive Malaysian consumers respond strongly to promotions
Threat of Substitutes	Availability of alternatives, relative price/performance, switching costs	Moderate — physical retail, social commerce (Instagram/Facebook), and direct brand websites all represent substitutes
Competitive Rivalry	Number of competitors, industry growth, differentiation, exit barriers	Very high — Shopee, Lazada, TikTok Shop, and Zalora compete intensely on price, promotions (11.11, 12.12), and logistics speed

Self-Reflection



2. Apply Porter's Five Forces to the Malaysian banking industry. Identify which force is currently most significant and explain the strategic implications for Malaysian commercial banks such as Maybank, CIMB, or Public Bank. How should banks respond to this competitive force?

4

Competitor Intelligence and Analysis

Competitor intelligence is the systematic process of gathering, analysing, and using information about competitors to improve strategic decision-making. Effective competitor analysis requires identifying not only current direct competitors — those offering similar products to the same target market — but also indirect competitors, who address the same customer need through different products, and potential competitors, who could credibly enter the market in the future. In the digital age, competitive boundaries are increasingly blurred, with technology companies entering traditional industries and traditional companies entering technology-intensive spaces.

The Competitive Profile Matrix (CPM) is a practical tool for comparing a firm's strategic position against its key competitors across a set of critical success factors (CSFs). CSFs are the activities and capabilities that are most essential for success in a given industry. The CPM assigns a weight to each CSF based on its relative importance, then rates each company on each factor, and calculates a weighted score. The resulting comparison enables managers to identify their competitive strengths and weaknesses relative to rivals and to prioritise strategic investments accordingly.

ASEAN competitive benchmarking has become increasingly important as Malaysian companies expand regionally. The ASEAN region presents a heterogeneous competitive landscape, with each country having unique regulatory environments, consumer preferences, and competitive dynamics. Malaysian companies such as Petronas, CIMB, and Axiata that operate across multiple ASEAN countries must develop the capability to scan competitive environments at both the national and regional levels, adapting their strategies to local conditions while maintaining the scale advantages of regional operations.

Critical Success Factors	Weight	Maybank Score (1-4)	CIMB Score (1-4)	Public Bank Score (1-4)
Digital Banking Capability	0.20	3 = 0.60	4 = 0.80	2 = 0.40
Branch Network Coverage	0.15	4 = 0.60	3 = 0.45	3 = 0.45
Regional ASEAN Presence	0.20	4 = 0.80	4 = 0.80	1 = 0.20
Asset Quality (NPL Ratio)	0.20	3 = 0.60	3 = 0.60	4 = 0.80
Customer Service Quality	0.15	3 = 0.45	3 = 0.45	4 = 0.60
Innovation & Product Range	0.10	4 = 0.40	3 = 0.30	2 = 0.20
Total Weighted Score	1.00	3.45	3.40	2.65

5 Assessing Organisational Resources: RBV

The Resource-Based View (RBV) of the firm, pioneered by Jay Barney (1991) in his landmark paper "Firm Resources and Sustained Competitive Advantage," shifts the focus of strategic analysis from the external environment to the internal resources and capabilities of the organisation. Barney argued that sustainable competitive advantage arises not from the industry structure in which a firm competes (as Porter suggested), but from the possession of resources and capabilities that are heterogeneous (different from those of competitors) and imperfectly mobile (difficult to transfer or replicate). The RBV provides a powerful complement to external analysis, helping managers understand the internal foundations of their competitive position.

The VRIN framework is the analytical tool derived from Barney's RBV. A resource provides sustainable competitive advantage only if it is: Valuable (it enables the firm to exploit opportunities or neutralise threats in its environment); Rare (it is possessed by few current or potential competitors); Inimitable (it is difficult for competitors to imitate or duplicate); and Non-substitutable (there are no strategically equivalent substitutes for this resource). Resources that meet all four VRIN criteria are the true source of sustained competitive advantage. Resources that are Valuable, Rare, and Inimitable but for which substitutes exist can provide competitive advantage, but it may be temporary.

David Teece and colleagues extended the RBV with the concept of Dynamic Capabilities (1997), which addresses how firms can sustain competitive advantage in rapidly changing environments. Dynamic capabilities refer to the firm's ability to sense, seize, and reconfigure resources in response to environmental change. While the VRIN framework identifies what resources matter, the dynamic capabilities framework addresses how firms can continuously build, integrate, and redeploy resources and capabilities to maintain relevance. In the Malaysian context, companies like Axiata and Grab have demonstrated strong dynamic capabilities through their rapid adaptation to changing technology landscapes.

Resource	Valuable?	Rare?	Inimitable?	Non-substitutable?	Competitive Advantage
Petronas' hydrocarbon exploration technology	Yes	Yes	Yes (complex knowledge)	Partially	Sustained CA in deepwater exploration
Maybank's regional ASEAN branch network	Yes	Yes (largest Malaysian bank)	Yes (years to build)	No (digital banking)	Temporary CA — eroding with fintech

Resource	Valuable?	Rare?	Inimitable?	Non-substitutable?	Competitive Advantage
AirAsia's low-cost operational model	Yes	No (replicated by others)	Partially	No (alternative budget carriers)	Competitive parity
Grab's super-app ecosystem & data assets	Yes	Yes in SEA	Yes (network effects)	Partially	Sustained CA in SEA digital services

Self-Reflection



3. Identify one strategic resource of Petronas or Telekom Malaysia that meets all four VRIN criteria. Explain why each criterion is satisfied and discuss the implications for the company's long-term competitive strategy.

6

SWOT Analysis Integration

SWOT Analysis — an assessment of Strengths, Weaknesses, Opportunities, and Threats — is the most widely used tool for integrating internal and external environmental analysis into a coherent strategic picture. The SWOT framework links the outputs of the internal analysis (Strengths and Weaknesses, derived from value chain analysis and RBV/VRIN assessment) with the outputs of the external analysis (Opportunities and Threats, derived from PESTEL and Porter's Five Forces). When conducted rigorously, a SWOT analysis provides a clear basis for strategy formulation by highlighting the fit between the organisation's capabilities and the opportunities available in its environment.

The TOWS Matrix, developed by Heinz Weihrich, extends SWOT analysis by systematically generating strategic options from the four combinations of internal and external factors. SO strategies (Strengths-Opportunities) use internal strengths to exploit external opportunities and represent the most aggressive strategic options.

ST strategies (Strengths-Threats) use internal strengths to defend against or avoid external threats. WO strategies (Weaknesses-Opportunities) seek to overcome internal weaknesses by exploiting external opportunities. WT strategies (Weaknesses-Threats) are defensive strategies aimed at minimising both weaknesses and threats, often involving retrenchment or divestiture.

Consider a SWOT analysis of a Malaysian manufacturing company such as Top Glove Corporation, the world's largest rubber glove manufacturer. Strengths include: world-scale production capacity, established global distribution network, and certified quality management systems. Weaknesses include: heavy dependence on a single product category, vulnerability to labour cost increases, and past reputational issues related to labour practices. Opportunities include: growing global healthcare demand, expansion into new product lines (nitrile vs. natural rubber), and digitalisation of manufacturing processes. Threats include: price competition from Chinese manufacturers, increasing raw material (latex) costs, and rising sustainability and ESG scrutiny from global buyers.

SWOT Factor	Key Items
Strengths (Internal)	World-scale production capacity at lowest cost; established relationships with major global healthcare distributors; quality certifications (ISO, FDA approval)
Weaknesses (Internal)	High dependence on rubber glove segment (concentration risk); past labour practice controversies affecting ESG ratings; production concentrated in Malaysia (single-country risk)
Opportunities (External)	Structural increase in global healthcare hygiene awareness post-COVID; growing demand for nitrile gloves in food processing and automotive sectors; digital manufacturing (Industry 4.0) to reduce costs
Threats (External)	Aggressive price competition from Chinese glove manufacturers with lower labour costs; rising natural rubber and nitrile prices; US and EU ESG supply chain due diligence legislation

SUMMARY

Environmental screening and scanning involves the systematic analysis of macro-environmental forces (PESTEL), industry competitive dynamics (Porter's Five Forces), competitor positions (CPM), and internal resources and capabilities (RBV/VRIN) to provide the information foundation for effective strategy formulation.

The PESTEL framework identifies Political, Economic, Social, Technological, Environmental, and Legal forces at the macro level, helping organisations in Malaysia and ASEAN anticipate the key drivers of environmental change that will shape their industries.

Porter's Five Forces framework analyses competitive dynamics at the industry level, providing insight into the structural attractiveness of an industry and the strategic options available to firms competing within it.

The Resource-Based View and VRIN analysis complement external analysis by identifying the internal resources and capabilities — such as those possessed by Petronas, Maybank, and Grab — that provide the foundation for sustainable competitive advantage, with SWOT/TOWS integration connecting all levels of analysis into actionable strategic options.

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Multiple Choice Questions (MCQS):

1. The PESTEL framework is primarily used to analyse which level of the business environment?
 - A. The internal environment of an organisation
 - B. The micro-environment and immediate industry conditions
 - C. The macro-environment and broad societal forces
 - D. The competitive dynamics between specific rival firms

2. According to Porter's Five Forces, which condition would INCREASE the bargaining power of buyers?
 - A. Products are highly differentiated with unique features
 - B. Buyers are fragmented and make small individual purchases
 - C. Switching costs between suppliers are very high
 - D. Buyers purchase in large volumes and the product is standardised

3. The Resource-Based View (RBV) of the firm, as developed by Barney (1991), argues that sustainable competitive advantage comes from:
 - A. Operating in an industry with favourable competitive structure
 - B. Possessing resources that are valuable, rare, inimitable, and non-substitutable
 - C. Achieving the lowest cost position in the industry through economies of scale
 - D. Forming strategic alliances with key suppliers and distributors

4. In the TOWS Matrix, a "WO Strategy" refers to:
 - A. Using internal strengths to exploit external opportunities
 - B. Using internal strengths to defend against external threats
 - C. Overcoming internal weaknesses by exploiting external opportunities
 - D. Minimising both internal weaknesses and external threats

5. The Competitive Profile Matrix (CPM) compares firms using:
- A. Financial ratios such as return on assets and profit margins
 - B. Weighted scores on critical success factors relevant to the industry
 - C. PESTEL factors applied to each competitor
 - D. Porter's Five Forces applied to each competitor's position

Questions for Discussion

1. Conduct a PESTEL analysis of the Malaysian higher education industry. Identify the three most significant macro-environmental factors and discuss their strategic implications for private universities and colleges operating in Malaysia.
2. Apply Porter's Five Forces to the Malaysian telecommunications industry. Evaluate the current attractiveness of the industry for existing players such as Telekom Malaysia, Maxis, and Celcom Digi, and identify which force presents the greatest strategic challenge.
3. Using the VRIN framework, assess the strategic resources of either Petronas or CIMB Group. Identify at least two resources that satisfy all four VRIN criteria and explain how these resources contribute to sustainable competitive advantage.

END OF TOPIC

TOPIC

3

LEVELS OF STRATEGIES

*Lecturers: Prof. Dr. Dato Shazali Abu Mansor; Prof. Dr.
Dzulzalani bin Eden; Prof. Dr. Frank Kiong*

LEARNING OUTCOMES

By the end of this topic you should be able to:

- Distinguish between functional, business, and corporate level strategies
- Evaluate sources of competitive advantage at the business level
- Analyse corporate-level strategies including diversification
- Assess international expansion strategies in ASEAN context



INSPIRING MINDS, SHAPING FUTURE

LO Learning Objectives

By the end of this topic you should be able to:

- **Differentiate between functional, business, and corporate-level strategies** and explain how they align to organisational goals.
- **Analyse the sources of competitive advantage** using value chain and resource-based frameworks.
- **Evaluate international strategies** and their application in competing across global markets.
- **Recommend appropriate strategic options** for organisations operating in dynamic environments.

1 Overview of Strategic Levels

Strategy in large organisations operates at multiple hierarchical levels, each with a distinct focus, scope, and set of strategic questions. Understanding the different levels of strategy is essential for ensuring vertical alignment — the coherent integration of strategies across the organisation so that functional activities support business-level goals, which in turn support corporate-level objectives. The three primary levels of strategy are: corporate-level strategy, business-level strategy, and functional-level strategy.

Corporate-level strategy is formulated by the top management team and board of directors. It addresses the fundamental question: "In which businesses and industries should we compete?" Corporate strategy determines the overall scope and direction of the organisation, including decisions about diversification, vertical integration, mergers and acquisitions, strategic alliances, and the allocation of resources across the firm's portfolio of businesses. In diversified companies, corporate strategy involves managing the portfolio of business units to maximise overall corporate value.

Business-level strategy is formulated at the strategic business unit (SBU) level and addresses the question: "How should we compete in this particular industry or market?" Business strategy is concerned with building and sustaining competitive advantage within a specific product-market domain. It draws on the analysis of external competitive forces (Porter's Five Forces) and internal capabilities (RBV/VRIN) to determine how the firm will create and deliver value to customers in a way that is superior to competitors. Porter's Generic Strategies — cost leadership, differentiation, and focus — are the foundational framework for business-level strategy.

Functional-level strategy is formulated by the heads of functional departments (marketing, operations, human resources, finance, R&D) and addresses the question: "How can each function best contribute to the achievement of business-level objectives?" Functional strategies provide the operational detail and resource allocation decisions that translate business strategy into action. The key challenge at the functional level is ensuring that the strategies of different functions are internally consistent and mutually supportive.

Level	Focus	Key Questions	Examples
Corporate	Overall scope and direction of the organisation; portfolio of businesses	Which industries to enter? What acquisitions or alliances to pursue? How to allocate capital across business units?	Sime Darby's diversification across plantations, automotive, and industrials; Axiata's ASEAN telecommunications portfolio
Business	Competitive positioning within a specific industry or market segment	How to compete? Cost leadership or differentiation? Which customer segments to serve? How to respond to competitor actions?	AirAsia's cost leadership strategy in budget aviation; Petronas Chemicals' differentiation through specialty chemicals

Level	Focus	Key Questions	Examples
Functional	Operational excellence and resource management within each department	How to improve efficiency? How to attract and retain talent? How to optimise the supply chain? How to enhance customer experience?	Maybank's HR strategy for digital talent development; Top Glove's operations strategy for automation and Industry 4.0

2 Functional-Level Strategies

Functional-level strategies define how each organisational function will contribute to the achievement of business-level strategic objectives. Effective functional strategies create core competencies — bundles of skills and capabilities that provide the basis for competitive advantage. When functional strategies are aligned with business strategy and mutually reinforcing across functions, they create what Porter describes as a system of activities that is difficult for competitors to imitate.

Marketing strategy at the functional level involves decisions about target market selection, product positioning, pricing, distribution channel management, and integrated marketing communications. Operational strategy encompasses decisions about production processes, capacity management, quality management systems, supply chain design, and technology investment.

These two functions must be closely coordinated: a marketing strategy that promises premium quality requires an operational strategy that can consistently deliver it. Human resource strategy determines how the organisation will attract, develop, motivate, and retain the talent needed to execute the business strategy.

Financial strategy at the functional level involves decisions about capital structure (the mix of debt and equity financing), dividend policy, capital investment criteria (e.g., minimum acceptable return on investment), and working capital management. In Malaysia, listed companies must balance the financial expectations of shareholders — who often demand consistent dividend payments and capital growth — with the investment requirements of long-term strategic development. Companies like Maybank, which pursues both financial performance and social impact through its M25 strategy, exemplify the integration of financial and social objectives at the functional level.

Function	Strategic Goal	Key Activities
Marketing	Build brand awareness, acquire and retain customers, drive revenue growth	Market segmentation and targeting; brand management; digital marketing and social media; pricing strategy; distribution channel optimisation
Operations	Achieve operational efficiency, quality excellence, and supply chain resilience	Process design and automation; quality management (ISO, Six Sigma); supply chain management; capacity planning; Industry 4.0 adoption
Human Resources	Attract, develop, and retain talent aligned with strategic needs	Strategic workforce planning; talent acquisition and employer branding; learning & development programmes; performance management; succession planning
Finance	Optimise capital allocation, maintain financial health, fund strategic initiatives	Capital budgeting and investment appraisal; capital structure management; financial risk management; treasury management; investor relations
Research & Development	Drive innovation and develop new products, services, and processes	R&D investment prioritisation; product development pipeline management; intellectual property management; open innovation partnerships

Michael Porter's Generic Strategies framework (1985) identifies three fundamental strategic positions through which a firm can achieve a sustainable competitive advantage: Cost Leadership, Differentiation, and Focus. Each generic strategy is associated with a different set of organisational capabilities, resources, and structural requirements. Choosing the right generic strategy requires a clear understanding of the industry structure, the target customer segment, and the firm's own resource and capability base.

Cost Leadership strategy involves achieving the lowest cost of production or service delivery in the industry, which enables the firm to either price its products below competitors (gaining market share) or maintain industry-average prices while earning higher profit margins. Cost leadership requires relentless focus on operational efficiency, economies of scale, strict cost control, proprietary technology, preferential access to raw materials, and tight overhead management. AirAsia is the quintessential example of cost leadership in Malaysian and ASEAN aviation: its operations are built around a single aircraft type (reducing maintenance complexity), high aircraft utilisation rates, ancillary revenue generation, and lean ground operations.

Differentiation strategy involves offering a product or service that customers perceive as unique and superior along one or more attributes they value.

A successful differentiator commands a price premium that exceeds the additional costs of differentiation, generating above-average profitability. Differentiation can be achieved through product innovation, superior quality, exceptional customer service, strong brand identity, advanced technology, or extensive distribution networks.

In Malaysia, luxury property developers like S P Setia and Eco World pursue differentiation through design quality, community amenities, and environmental sustainability features.

Porter warned against being "stuck in the middle" — attempting to pursue both cost leadership and differentiation without achieving excellence at either. A stuck-in-the-middle strategy typically results in below-average performance because it lacks the internal consistency and focus required for competitive success. Companies must make clear strategic choices and be willing to make trade-offs. Blue Ocean Strategy (Kim & Mauborgne, 2005, 2015) challenges this framework by arguing that companies can simultaneously pursue differentiation and low cost by creating entirely new market spaces — "blue oceans" — that make competition irrelevant, as Grab did in Southeast Asian transportation by combining ride-hailing, food delivery, and digital payments.

Self-Reflection



1. Which generic strategy does AirAsia employ? Justify your answer using at least three pieces of specific evidence from AirAsia's business model. Are there any aspects of AirAsia's strategy that suggest elements of differentiation despite its cost leadership approach?

Strategy	Target	Competitive Advantage	Risk	Malaysian Example
Cost Leadership	Broad market	Lowest delivered cost in the industry	Technological change eroding cost advantage; competitors learning to reduce costs	AirAsia — lowest cost per available seat kilometre in ASEAN aviation
Differentiation	Broad market	Perceived uniqueness valued by customers who pay a premium	Imitation by competitors; customer preferences shift away from differentiation features	Nestlé Malaysia — premium branded FMCG products commanding price premiums

Strategy	Target	Competitive Advantage	Risk	Malaysian Example
Cost Focus	Narrow segment	Lowest cost serving a specific niche	Niche segment disappears; broad cost leader attacks the niche	Budget furniture retailers serving cost-conscious segments in East Malaysia
Differentiation Focus	Narrow segment	Differentiated offer tailored to a specific niche	Differentiation focus eroded as larger players enter the niche with superior resources	Jewellery brands targeting Malay wedding market with cultural customisation

4 Corporate-Level Strategies

Corporate-level strategies address how multi-business organisations create and distribute value across their portfolio of businesses. The fundamental strategic decision at the corporate level is whether and how to diversify beyond the firm's original core business. Diversification decisions are driven by considerations of growth opportunities, risk management, synergies, and the deployment of excess resources or capabilities. Concentration strategies, in contrast, involve deepening the firm's commitment to its existing business(es) rather than diversifying.

Vertical integration involves expanding the firm's activities along its value chain — either backward (towards suppliers) or forward (towards customers and distributors). Backward integration involves taking ownership or control of supplier activities; for example, a food company acquiring a packaging materials manufacturer. Forward integration involves taking ownership or control of distribution or customer-facing activities; for example, a manufacturer opening its own retail stores. Vertical integration can reduce transaction costs, ensure supply security, and create entry barriers, but it also increases capital requirements and reduces operational flexibility.

Diversification can be classified as related or unrelated. Related diversification involves expanding into businesses that share common technologies, markets, customers, or capabilities with the existing core business — creating synergies through shared resources, knowledge transfer, and economies of scope. Unrelated diversification (conglomerate diversification) involves expanding into businesses that have no operational linkages with existing businesses, driven by financial portfolio logic or opportunistic acquisition. Malaysian conglomerates such as Sime Darby Berhad and YTL Corporation have historically pursued elements of both related and unrelated diversification.

The Ansoff Matrix (1957), also known as the Product-Market Growth Matrix, provides a framework for corporate growth strategy by mapping growth options along two dimensions: markets (existing vs. new) and products (existing vs. new). The four strategic options are: Market Penetration (existing products in existing markets — lowest risk); Market Development (existing products in new markets); Product Development (new products in existing markets); and Diversification (new products in new markets — highest risk). The Ansoff Matrix helps managers systematically consider the full range of growth options available and assess their relative risk profiles.

Self-Reflection



2. Analyse Sime Darby's diversification strategy. Is its diversification primarily related or unrelated? What synergies, if any, exist across its plantation, automotive, and industrial business segments? Evaluate the overall effectiveness of its diversification approach.

Strategy	Market	Product	Risk Level	Malaysian Example
Market Penetration	Existing	Existing	Low	Maybank increasing its share of the existing Malaysian retail banking market through competitive interest rates and digital promotions

Strategy	Market	Product	Risk Level	Malaysian Example
Market Development	New	Existing	Medium	CIMB Bank expanding its existing retail banking products into new ASEAN markets (Cambodia, Philippines)
Product Development	Existing	New	Medium	Grab introducing GrabFinance (lending) and GrabInsure (insurance) to its existing Southeast Asian ride-hailing customer base
Diversification	New	New	High	Sime Darby entering the Chinese automotive distribution market with a new business model for a new geographic market

5 Competitive Advantage and Sustainability

Sustaining competitive advantage over time is one of the central challenges of strategic management. The forces of competition — imitation, substitution, technological disruption, and changing customer preferences — continuously erode competitive advantages that are not actively maintained and renewed. The resource-based view suggests that competitive advantage is most durable when it is built on resources that are deeply embedded in the firm's routines, culture, and relationships — making them inherently difficult to imitate. However, even VRIN resources can be made obsolete by disruptive technological change, as the rise of fintech illustrates for traditional banking.

The first-mover advantage is a significant source of competitive advantage in many industries, particularly those characterised by network effects, high switching costs, and steep learning curves. First movers can establish strong brand recognition, build loyal customer bases, secure access to scarce resources, and establish industry standards before competitors can react.

However, first-mover advantage is not automatic: being first is only advantageous if the first mover has the resources and capabilities to exploit and defend its position. Late movers can sometimes benefit from learning from the first mover's mistakes, entering with superior technology, or benefiting from a market that the first mover has already educated and developed.

The case of Grab versus the traditional taxi industry in Southeast Asia illustrates the dynamics of disruptive innovation and competitive advantage. Grab entered the Southeast Asian urban transportation market in 2012, initially offering a smartphone-based app to book taxis, then transitioning to a private car-sharing model (GrabCar). The traditional taxi industry, characterised by fragmented operators, inconsistent service quality, opaque pricing, and limited payment options, was particularly vulnerable to disruption. Grab's technology platform — providing transparent pricing, driver tracking, digital payments, and user ratings — offered dramatically superior customer value, rapidly winning market share. By 2024, Grab had evolved into a super-app with over 35 million monthly active users across Southeast Asia, illustrating how competitive advantage built on network effects and data can compound over time.

6 International Strategies

International strategy refers to the set of decisions that guide a firm's entry into and operations across international markets. As Malaysian companies increasingly look beyond domestic markets for growth — driven by the ASEAN economic integration agenda, digital economy opportunities, and the maturation of the domestic market — the choice of international strategy becomes a critical dimension of corporate-level strategy. Four broad archetypes of international strategy are commonly distinguished: Global, Multi-domestic, Transnational, and International (home-replication) strategies.

The ASEAN Free Trade Area (AFTA) and the ASEAN Economic Community (AEC), established in 2015, have significantly facilitated the regional expansion of Malaysian companies. AFTA has progressively eliminated tariffs on intra-ASEAN trade in goods, while the AEC provides frameworks for the liberalisation of services, investment, and the flow of skilled labour. For Malaysian companies, the ASEAN region provides a natural first step in internationalisation — offering geographic proximity, cultural similarities (particularly in Malay-speaking markets), and a combined market of over 670 million consumers.

The choice of internationalisation mode — the mechanism through which a firm enters a foreign market — involves a fundamental trade-off between the level of control over overseas operations and the level of resource commitment and risk. Exporting requires minimal resource commitment but provides limited control and may be restricted by tariffs and logistics costs. Licensing allows rapid market entry with minimal investment but transfers proprietary knowledge to the licensee and limits control over brand and quality. Joint ventures provide shared investment and risk while enabling access to local market knowledge, but require careful partner selection and governance. Foreign Direct Investment (FDI) through wholly-owned subsidiaries provides maximum control but requires the highest resource commitment and exposes the firm to full country risk.

Self-Reflection



3. Which internationalisation mode would you recommend for a Malaysian SME in the food and beverage industry seeking to expand into Vietnam? Justify your recommendation by considering the SME's resource constraints, the specific characteristics of the Vietnamese market, and the trade-offs inherent in each internationalisation mode.

Mode	Control Level	Risk Level	Resource Cost	Malaysian Example
Exporting	Low	Low	Low	Malaysian palm oil and rubber exports to global markets via commodity trading companies
Licensing / Franchising	Low to Medium	Low to Medium	Low to Medium	MyNews Holdings franchising its convenience store model in Southeast Asia
Joint Venture	Medium	Medium	Medium	Maybank's joint venture partnerships with local banks in ASEAN markets (e.g., Maybank Indonesia)
Strategic Alliance	Medium	Medium	Low to Medium	AirAsia's airline partnerships and codeshare agreements with regional carriers across Asia
Wholly-Owned Subsidiary (FDI)	High	High	High	CIMB Group's wholly-owned subsidiaries in Singapore, Thailand, Indonesia, Philippines, and Cambodia

SUMMARY

Strategy in organisations operates at three levels — corporate, business, and functional — each addressing different strategic questions and requiring different analytical frameworks, with vertical alignment across all three levels being essential for organisational effectiveness.

Business-level strategy, guided by Porter's Generic Strategies and the Blue Ocean Strategy framework, determines how a firm competes in its chosen market domain; the critical challenge is achieving strategic clarity and avoiding being "stuck in the middle" without a clear source of competitive advantage.

Corporate-level strategy addresses portfolio management, diversification, vertical integration, and growth direction using frameworks such as the Ansoff Matrix; Malaysian conglomerates like Sime Darby illustrate the complexity and trade-offs involved in managing diversified corporate portfolios.

International strategy in the ASEAN context requires Malaysian companies to select appropriate internationalisation modes — from exporting to FDI — balancing the level of control desired against resource constraints and risk tolerance, with the ASEAN Economic Community providing significant facilitative infrastructure for regional expansion.

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Multiple Choice Questions (MCQS):

1. Which level of strategy is most concerned with the question "In which businesses and industries should we compete?"
 - A. Functional-level strategy
 - B. Operational-level strategy
 - C. Business-level strategy
 - D. Corporate-level strategy

2. Porter's warning about being "stuck in the middle" refers to firms that:
 - A. Focus exclusively on a narrow market segment
 - B. Fail to achieve excellence at either cost leadership or differentiation
 - C. Pursue international expansion before dominating their domestic market
 - D. Invest too heavily in R&D without a clear product development roadmap

3. In the Ansoff Matrix, which growth strategy involves offering new products to new markets and carries the highest risk?
 - A. Market penetration
 - B. Market development
 - C. Product development
 - D. Diversification

4. Related diversification differs from unrelated diversification in that related diversification:
 - A. Requires a lower capital investment to execute
 - B. Involves entering businesses with operational or technological linkages to the core business
 - C. Is driven purely by financial portfolio management logic
 - D. Is more commonly used by small and medium enterprises

5. Which internationalisation mode provides the highest level of control over foreign operations but also requires the greatest resource commitment?

- A. Exporting
- B. Licensing
- C. Joint venture
- D. Wholly-owned subsidiary (FDI)

Questions for Discussion

1. Using AirAsia as a primary case study, critically evaluate its business-level strategy over the period 2020-2024. Has the company's strategic pivot from pure cost leadership to a digital ecosystem model strengthened or weakened its competitive position? Support your argument with specific evidence.
2. Analyse the corporate-level strategy of a major Malaysian conglomerate (e.g., Sime Darby, YTL Corporation, or Berjaya Corporation). Is its diversification strategy primarily related or unrelated? Does the corporate parent create or destroy value across its portfolio of businesses? Apply the Ansoff Matrix to assess its growth trajectory.
3. A Malaysian halal food company is considering expanding into the Indonesian market. Evaluate the four internationalisation modes (exporting, licensing/franchising, joint venture, and FDI) and recommend the most appropriate mode for this specific expansion, justifying your recommendation with reference to the company's likely resources, the characteristics of the Indonesian market, and ASEAN economic integration frameworks.

END OF TOPIC

TOPIC

4

STRATEGY FORMULATION

*Lecturers: Prof. Dr. Dato Shazali Abu Mansor; Prof. Dr.
Dzulzalani bin Eden; Prof. Dr. Frank Kiong*

LEARNING OUTCOMES

By the end of this topic you should be able to:

- Develop vision and mission statements for an organisation
- Apply SWOT analysis for strategic option generation
- Formulate long-term strategic objectives
- Evaluate and select strategies using appropriate frameworks



INSPIRING MINDS, SHAPING FUTURE

LO Learning Objectives

By the end of this topic you should be able to:

- **Develop a clear vision and mission statement** aligned to organisational purpose and stakeholder expectations.
- **Conduct a comprehensive SWOT analysis** to inform strategic decision-making.
- **Formulate long-term strategic objectives** using Ansoff's growth matrix and BCG frameworks.
- **Evaluate and choose among alternative strategies** for sustainable competitive positioning.

1 Overview of Strategy Formulation

Strategy formulation is the first and arguably most critical stage of the strategic management process. It is the intellectual and analytical process through which an organisation develops the strategies it will pursue to achieve its long-term objectives. Without rigorous strategy formulation, implementation efforts may be directed toward the wrong goals, and evaluation processes will have no clear benchmark against which to measure performance. Strategy formulation requires the integration of internal and external analysis, a clear articulation of the organisation's purpose and aspirations, and the systematic generation and evaluation of strategic options.

The definition of strategy formulation encompasses several interrelated activities: establishing the organisational vision and mission; conducting a thorough environmental analysis (PESTEL, Porter's Five Forces, VRIN/RBV); developing long-term strategic objectives that are specific, measurable, and time-bound; generating a portfolio of strategic options using frameworks such as SWOT/TOWS; and evaluating and selecting strategies using criteria such as Rumelt's criteria or the Quantitative Strategic Planning Matrix (QSPM).

Strategy formulation is linked to the organisation's fundamental purpose — its reason for existence beyond profit generation. Purpose-driven organisations that have clearly articulated why they exist and whom they serve are better equipped to formulate strategies that are not only commercially sound but also socially meaningful. The growing emphasis on ESG and stakeholder theory has reinforced the view that strategy formulation must balance the interests of multiple stakeholders — not just shareholders — in defining what the organisation is trying to achieve and how it intends to achieve it.

The strategic planning process typically follows a structured sequence: (1) defining or revisiting the organisation's vision and mission; (2) conducting the internal and external audit (SWOT); (3) establishing long-term strategic objectives; (4) generating and evaluating strategic options; (5) selecting strategies for implementation; and (6) communicating the chosen strategy to all relevant stakeholders. This process is iterative rather than strictly linear, as insights gained at each stage may require revisiting earlier steps.

2 Vision and Mission Statements

The vision and mission statements are the foundational documents of strategy formulation, providing the organisational compass that orients all subsequent strategic decisions. Despite often being used interchangeably, vision and mission serve distinct functions. The vision statement describes what the organisation aspires to become in the future — it is forward-looking, aspirational, and provides a long-term direction. The mission statement describes the organisation's current purpose — what it does, for whom, and how, in a way that distinguishes it from other organisations.

A compelling vision statement should be: concise and memorable; inspirational and motivating; future-oriented; clear and unambiguous; and achievable, if challenging. Examples of effective vision statements from Malaysian companies include: Maybank's "Humanising Financial Services" — a deceptively simple statement that encapsulates the bank's aspiration to make financial services accessible, affordable, and beneficial to all segments of society.

Petronas's vision "To be a Leading Oil and Gas Multinational of Choice" articulates both the desired scale (multinational) and positioning (of choice) clearly.

David (2023) identifies nine components of an effective mission statement: (1) Customers — who are the firm's customers?; (2) Products or Services — what are the firm's major products or services?; (3) Markets — geographically, where does the firm compete?; (4) Technology — is the firm technologically current?; (5) Concern for survival, growth, and profitability — is the firm committed to growth and financial soundness?; (6) Philosophy — what are the basic beliefs, values, aspirations, and ethical priorities of the firm?; (7) Self-concept — what is the firm's distinctive competence or major competitive advantage?; (8) Concern for public image — is the firm responsive to social, community, and environmental concerns?; (9) Concern for employees — are employees a valuable asset of the firm?



Self-Reflection

1. Evaluate the vision and mission statements of two Malaysian companies listed on Bursa Malaysia. Using David's nine-component framework, assess how well each mission statement covers the key components. What improvements would you recommend?

Dimension	Vision	Mission	Malaysian Example
Time Horizon	Long-term aspirational (5-20 years)	Present-focused — describes current purpose	Maybank Vision: long-term aspiration to be the leading ASEAN bank; Mission: immediate activities in financial services
Focus	Where we want to be (future state)	What we do, for whom, and how (current state)	Petronas Vision: "Leading Oil and Gas Multinational"; Mission: "Exploring, producing, processing and delivering energy"
Tone	Inspirational and motivating	Descriptive and operational	AirAsia Vision: inspiring aspiration of democratising air travel; Mission: operational focus on providing safe, affordable air travel

Dimension	Vision	Mission	Malaysian Example
Specificity	Broad directional statement	More specific about products, markets, and values	TNB Vision: broad leadership aspiration; Mission: specific about energy provision and sustainability commitments

3 Long-Term Objectives and Strategy

Long-term strategic objectives translate the vision and mission into specific, measurable targets that guide the allocation of resources and the evaluation of performance over a multi-year horizon (typically 3-5 years). Without clearly defined long-term objectives, the strategy formulation process lacks the concrete targets against which strategic options can be evaluated and implementation progress can be assessed. Long-term objectives also create accountability: they provide the basis for evaluating the performance of business units, management teams, and the organisation as a whole.

Effective long-term objectives should be SMART: Specific (clearly defined and unambiguous), Measurable (quantifiable with agreed metrics), Achievable (realistic given the organisation's resources and capabilities), Relevant (aligned with the vision, mission, and strategic context), and Time-bound (associated with a defined time horizon for achievement). In practice, both financial objectives (e.g., revenue growth targets, return on equity, earnings per share growth) and strategic objectives (e.g., market share targets, customer satisfaction scores, digital transformation milestones, ESG commitments) should be included in the set of long-term objectives.

The Balanced Scorecard (BSC), introduced by Kaplan and Norton in 1992, provides an integrated framework for translating the organisation's strategy into a comprehensive and balanced set of performance objectives and measures.

The BSC organises objectives and measures across four perspectives:

- (1) Financial — "How do we look to shareholders?";
- (2) Customer — "How do customers see us?";
- (3) Internal Business Processes — "What must we excel at?"; and
- (4) Learning and Growth — "Can we continue to improve and create value?"

The BSC ensures that the organisation focuses on both the financial outcomes of strategy and the non-financial drivers of those outcomes.

Perspective	Strategic Objective	Measure	Target	Initiative
Financial	Achieve sustainable revenue growth and profitability	Revenue growth rate; Return on Equity (ROE); Net Profit Margin	10% annual revenue growth; ROE > 15%	New product and market development; operational efficiency programme
Customer	Deliver superior customer experience and build loyalty	Net Promoter Score (NPS); Customer satisfaction index; Customer retention rate	NPS > 60; Retention rate > 85%	Customer journey redesign; digital service enhancement; complaint resolution programme
Internal Processes	Achieve operational excellence and innovation	Process cycle time; Defect rate; New product time-to-market	Cycle time reduction 20%; Defect rate < 1%	Lean and Six Sigma implementation; R&D investment increase; digital process automation

Perspective	Strategic Objective	Measure	Target	Initiative
Learning & Growth	Build organisational capabilities and culture for sustained performance	Employee engagement score; Digital capability index; Staff training hours per employee	Engagement > 75%; Training ≥ 40 hours/year	Leadership development programme; digital upskilling initiative; talent acquisition strategy

4 SWOT-Based Strategy Generation

While SWOT analysis provides a useful audit of the organisation's internal and external situation, its real strategic value lies in using the SWOT inputs to generate strategic options. The TOWS Matrix, developed by Heinz Weihrich, is the tool that makes this translation systematic and rigorous. The TOWS Matrix organises the four SWOT categories into a 2×2 matrix and uses the intersections to generate four types of strategic options. Unlike a simple SWOT list, the TOWS Matrix forces strategic thinkers to ask: "How can we use our Strengths to exploit this Opportunity?" or "How can we mitigate this Weakness to avoid this Threat?"

SO (Strengths-Opportunities) strategies represent the most powerful and aggressive growth options. They leverage the firm's most significant strengths to capitalise on the most attractive external opportunities. These strategies are typically associated with market expansion, new product launches, or technology-based competitive attacks. ST (Strengths-Threats) strategies use the firm's strengths as defensive weapons against the most serious external threats — for example, using a strong balance sheet to weather an economic downturn, or using a proprietary technology to fend off a competitive attack.

WO (Weaknesses-Opportunities) strategies involve overcoming internal weaknesses in order to exploit attractive external opportunities. They typically require investment in capability building, talent acquisition, process improvement, or technology adoption. WT (Weaknesses-Threats) strategies are defensive and risk-minimising, aimed at reducing exposure to threats while addressing vulnerabilities. WT strategies may include exit from unattractive segments, cost reduction programmes, strategic alliances to compensate for capability gaps, or divestiture of underperforming businesses.

Self-Reflection



2. Apply the TOWS matrix to develop two SO strategies and two WO strategies for a Malaysian food and beverage company of your choice (e.g., Old Town White Coffee, Secret Recipe, or Brahim's). Be specific about the particular strength, weakness, opportunity, or threat that each strategy addresses.

TOWS Matrix	Strengths (S)	Weaknesses (W)
Opportunities (O)	SO Strategies (Aggressive) Use strengths to exploit opportunities. Example: A Malaysian F&B company with a strong Halal certification (S) should expand into Middle Eastern markets where Halal food demand is growing (O) by establishing a dedicated export division.	WO Strategies (Turn-around) Overcome weaknesses by exploiting opportunities. Example: A Malaysian F&B company with limited digital marketing capability (W) should partner with a digital marketing agency to capitalise on the rapid growth of food delivery platforms (O).

TOWS Matrix	Strengths (S)	Weaknesses (W)
Threats (T)	ST Strategies (Defensive) Use strengths to avoid threats. Example: A Malaysian F&B company with strong brand loyalty (S) should launch a customer loyalty programme and premium product line to defend against low-cost new entrants (T).	WT Strategies (Defensive/Retrench) Minimise weaknesses and avoid threats. Example: A Malaysian F&B company with high dependence on imported raw materials (W) facing a depreciating ringgit (T) should switch to locally sourced alternatives to reduce foreign exchange exposure.

5 Strategy Evaluation Frameworks

Once a set of strategic options has been generated through SWOT/TOWS analysis and other tools, the critical challenge is evaluating these options and selecting the strategies that offer the best prospects for achieving the organisation's objectives. Richard Rumelt (1980) proposed four criteria for evaluating strategies: Consistency (the strategy must not present mutually inconsistent goals and policies); Consonance (the strategy must represent an adaptive response to the external environment and the critical changes occurring within it); Feasibility (the strategy must neither overtax available resources nor create unsolvable sub-problems); and Advantage (the strategy must provide for the creation and/or maintenance of a competitive advantage in the selected area of activity).

Rumelt's criteria provide a qualitative framework for filtering strategic options. A strategy that fails on any one of these four criteria should be modified or rejected. The consistency criterion is particularly important for ensuring internal coherence: a strategy that simultaneously pursues cost leadership and premium differentiation will likely fail both because of internal contradictions in resource allocation and messaging.

The feasibility criterion is often the most critical practical constraint: even the most elegantly conceived strategy is worthless if the organisation lacks the financial resources, human capabilities, or technological infrastructure to execute it.

The Quantitative Strategic Planning Matrix (QSPM), developed by Fred David, provides a more systematic and quantitative approach to strategy selection. The QSPM uses the key factors identified in the PESTEL, Porter's Five Forces, and SWOT analyses, assigns weights to reflect their relative importance, and then scores each strategic alternative on how effectively it addresses each key factor. The resulting Total Attractiveness Scores (TAS) provide a quantitative basis for comparing strategic alternatives. While the QSPM is not a substitute for strategic judgment and qualitative analysis, it provides a useful discipline for ensuring that all relevant factors are considered in the strategy selection decision.

A decision matrix approach combines qualitative and quantitative elements, allowing strategists to evaluate alternatives against multiple criteria simultaneously. Criteria might include: financial return potential, implementation feasibility, alignment with core competencies, stakeholder acceptability, risk level, and time to competitive advantage. Each criterion is weighted, and each strategic alternative is scored on each criterion, with the weighted scores summed to produce an overall attractiveness rating. This structured approach helps prevent decision-making biases and ensures that a full range of strategic considerations is reflected in the final selection.

Self-Reflection



3. Using Rumelt's four criteria (Consistency, Consonance, Feasibility, and Advantage), evaluate the strategy of a Malaysian company that recently expanded internationally (e.g., Maybank's ASEAN expansion, Axiata's digital services expansion, or Bonia's luxury market entry). Which criterion presents the greatest challenge for the company's chosen strategy?

The final step in the strategy formulation process is the selection of strategies and their effective communication to all relevant stakeholders. Strategy selection involves making definitive choices about which strategic options to pursue and which to defer or abandon. Henry Mintzberg's concept of "emergent strategy" (1994) reminds us that not all strategy is deliberate and planned: in practice, strategies often emerge from the pattern of decisions made over time in response to environmental changes and learning. The most effective strategy processes combine deliberate strategic planning with the flexibility to adapt to emerging opportunities and threats.

Top-down strategy communication involves senior leadership articulating the chosen strategy clearly, compellingly, and consistently to all levels of the organisation. The key challenges in top-down communication include: ensuring clarity (the strategy is understood, not just heard); ensuring relevance (employees can see how their role contributes to the strategy); ensuring motivation (the strategy inspires commitment and effort); and ensuring alignment (all functions and business units adjust their plans to support the chosen strategy). Research consistently shows that poor strategy communication is one of the most common causes of strategy implementation failure.

Bottom-up strategy communication involves creating channels for frontline employees, middle managers, and other operational staff to provide input into the strategy formulation process and feedback on implementation challenges. The bottom-up approach recognises that those closest to customers, operations, and competitors often have the most current and granular information about strategic opportunities and challenges. Effective strategy processes balance top-down direction with bottom-up input, creating a two-way dialogue that improves strategy quality and builds organisational commitment.

Maybank's M25 strategic plan (2021-2025) provides an excellent Malaysian case study in strategy formulation and communication. The M25 plan, launched in 2021, articulates four strategic pillars: Business Sustainability, Inclusive Impact, Inspired People, and Community.

The plan is supported by a comprehensive Balanced Scorecard with specific targets across all four BSC perspectives. Maybank has communicated M25 extensively through internal town halls, external investor briefings, annual reports, and sustainability disclosures. The plan demonstrates how a major Malaysian financial institution can formulate a coherent, balanced, and purpose-driven strategy that addresses the needs of multiple stakeholders while delivering sustainable financial performance.

SUMMARY

Strategy formulation is the intellectual and analytical process through which organisations develop the strategies they will pursue, beginning with the articulation of vision and mission — the organisational purpose and aspirations that anchor all subsequent strategic decisions.

Long-term objectives must be SMART and balanced across financial and non-financial dimensions; the Balanced Scorecard provides the most widely adopted framework for translating vision and strategy into a comprehensive set of performance objectives across Financial, Customer, Internal Process, and Learning & Growth perspectives.

The TOWS Matrix enables the systematic generation of strategic options from SWOT analysis, while Rumelt's four criteria (Consistency, Consonance, Feasibility, and Advantage) and the Quantitative Strategic Planning Matrix (QSPM) provide rigorous tools for evaluating and selecting from the strategic options generated.

Effective strategy communication — combining top-down clarity with bottom-up engagement — is as important as the quality of the strategy itself; Maybank's M25 strategic plan exemplifies how a major Malaysian company can formulate, communicate, and execute a purpose-driven strategy that serves multiple stakeholders while delivering sustainable financial performance.

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Multiple Choice Questions (MCQS):

1. According to David (2023), an effective mission statement should include which of the following components?
 - A. The organisation's short-term financial targets and annual profit goals
 - B. A description of the firm's products/services, customers, markets, and values
 - C. A detailed operational plan for each business unit
 - D. The names of the board of directors and senior management team

2. The Balanced Scorecard (Kaplan & Norton) addresses the "Financial" perspective by asking:
 - A. How do customers see us?
 - B. What must we excel at in our internal processes?
 - C. How do we look to our shareholders and investors?
 - D. Can we continue to improve and create value for the future?

3. In the TOWS Matrix, an ST strategy involves:
 - A. Using strengths to exploit opportunities aggressively
 - B. Using strengths to avoid or defend against threats
 - C. Overcoming weaknesses to exploit opportunities
 - D. Minimising weaknesses and avoiding threats through retrenchment

4. Rumelt's criterion of "Consonance" in strategy evaluation refers to:
 - A. The absence of internal contradictions in the strategy's goals and policies
 - B. The strategy's adaptive response to the external environment and critical changes
 - C. The availability of resources and capabilities needed to execute the strategy
 - D. The creation or maintenance of a competitive advantage through the strategy

5. Henry Mintzberg's concept of "emergent strategy" suggests that:
- A. All successful strategies must be fully planned and documented in advance
 - B. Strategy should only be formulated by the top management team
 - C. Some strategies emerge from patterns of decisions over time in response to the environment
 - D. Strategic planning is unnecessary in rapidly changing environments

Questions for Discussion

1. Develop a vision statement and a mission statement for a hypothetical Malaysian technology start-up that provides AI-powered supply chain optimisation solutions to Malaysian and ASEAN manufacturers. Apply David's nine-component framework to ensure your mission statement is comprehensive. Evaluate your statements against the characteristics of effective vision and mission statements.
2. Construct a TOWS Matrix for a Malaysian airline of your choice, using realistic SWOT factors derived from your knowledge of the industry. Generate at least one specific strategy for each of the four quadrants (SO, ST, WO, WT) and explain how each strategy addresses the specific internal and external factors it is derived from.
3. Maybank's M25 strategic plan (2021-2025) is now in its final years. Using publicly available information, evaluate the M25 strategy against Rumelt's four criteria (Consistency, Consonance, Feasibility, and Advantage). Based on your evaluation, what recommendations would you make for Maybank's next five-year strategic plan (2026-2030)?

END OF TOPIC

TOPIC

5

CURRENT ISSUES IN ORGANISATIONAL BEHAVIOUR

Lecturers: Prof. Dr. Dato Shazali Abu Mansor; Prof. Dr.

LEARNING OUTCOMES

By the end of this topic you should be able to:

- Examine current issues and emerging trends in organisational behaviour
- Analyse motivation theories and their application in diverse workplaces
- Evaluate diversity, inclusion, and team dynamics in contemporary organisations
- Apply OB concepts to address hybrid work and digital transformation challenges



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LO Learning Objectives

By the end of this topic you should be able to:

- **Analyse how individual differences, ability, and biographical characteristics** influence workplace behaviour and team performance.
- **Apply motivation theories** to design effective employee engagement strategies.
- **Evaluate diversity management strategies** and their impact on organisational effectiveness.
- **Examine decision-making and negotiation processes** in complex organisational contexts.

Sarawak's unique geographical and cultural landscape creates distinctive organisational behaviour challenges and opportunities. The state's vast territory — 37.5% of Malaysia's land mass but with a relatively small and dispersed population — means many organisations must manage geographically distributed teams, particularly in sectors like energy (Sarawak Energy Berhad with operations from Kuching to Bintulu and Miri), timber, and government services. A key OB challenge is managing multicultural teams: Sarawak's workforce comprises Iban, Malay, Chinese, Bidayuh, Melanau, Orang Ulu, and other communities, each with distinct cultural values affecting communication styles, motivation drivers, and team dynamics. Research from Universiti Malaysia Sarawak (UNIMAS) has found that in Sarawak-based manufacturing companies in the SCORE region, leader-member exchange (LMX) theory is particularly relevant — high-quality LMX relationships significantly improve organisational citizenship behaviour (OCB) and performance. With the post-2020 shift to hybrid work, organisations in Kuching and Miri face unique challenges: inconsistent internet connectivity in rural areas, cross-cultural digital communication norms, and the need to maintain team cohesion across geographically remote sites. SDEC's Digital Community Centres (DCCs) across Sarawak represent a governmental response to digital inclusivity, ensuring that even rural employees can participate in hybrid work environments.

Organisational Behaviour (OB) is the systematic study and application of knowledge about how individuals and groups act within the organisations where they work. It is a multidisciplinary field drawing from psychology, sociology, anthropology, and management science. The primary goal of OB is to apply such knowledge toward improving organisational effectiveness and employee well-being.

The scope of organisational behaviour extends across three interrelated levels of analysis: the individual, the group, and the organisational system. Understanding behaviour at each level helps managers diagnose problems, predict outcomes, and implement effective interventions.

Definition and Scope of OB:

- Organisational Behaviour is defined as the study of human behaviour in organisational settings, the interface between human behaviour and the organisation, and the organisation itself (Luthans, 2021).
- OB encompasses topics such as personality, perception, attitudes, motivation, learning, group dynamics, leadership, power, conflict, culture, and change.
- It bridges theory and practice — helping organisations design systems, policies, and structures that align human behaviour with organisational goals.

Levels of OB Analysis:

- Individual Level: Focuses on individual characteristics such as personality traits, attitudes, perception, learning styles, and motivation. Managers apply individual-level insights to hiring, training, and performance management.
- Group Level: Examines how people interact in teams and groups — covering communication patterns, leadership dynamics, conflict, decision-making, and group cohesion.
- Organisational Level: Looks at the organisation as a whole — structure, culture, change processes, and how organisational systems influence collective behaviour.

Contemporary Challenges Post-COVID-19:

- The COVID-19 pandemic (2020–2023) profoundly disrupted traditional workplace structures, accelerating trends in remote work, digital communication, and hybrid employment models.
- Employee well-being and mental health have emerged as critical OB concerns, with organisations investing in psychological support programmes and flexible work arrangements.
- Diversity, equity, and inclusion (DEI) initiatives gained renewed urgency as organisations grappled with social inequalities exposed or amplified by the pandemic.
- The "Great Resignation" phenomenon — where millions of workers voluntarily left jobs globally — highlighted critical gaps in employee engagement, purpose, and organisational culture.
- In Malaysia, many GLCs and multinationals adopted hybrid work policies, raising new challenges in managing distributed teams and maintaining organisational cohesion.

Level	Focus	Key Variables	Management Implication
Individual	Personal traits and work behaviour	Personality, motivation, perception, attitude	Selection, training, appraisal systems
Group	Interpersonal and team dynamics	Cohesion, norms, leadership, communication	Team design, conflict management, collaboration
Organisational	Systemic structures and culture	Culture, structure, change, strategy	Organisation design, culture change, BPR

2 Decision-Making in Organisations

Decision-making is at the heart of managerial work. Every day, managers make choices ranging from routine operational decisions to complex strategic ones. Organisational behaviour provides critical insights into how decisions are actually made — and how they can be improved.

Rational Model vs Bounded Rationality:

- The Rational Model assumes that decision-makers have access to complete and accurate information, can identify all possible alternatives, evaluate them objectively, and select the option that maximises outcomes. This is an idealised view rarely achieved in practice.
- Herbert Simon (1947) challenged this with the concept of Bounded Rationality — the idea that human decision-making is constrained by limited information, limited cognitive capacity, and limited time. Rather than optimising, people "satisfice" — choosing a solution that is good enough rather than the absolute best.
- Satisficing behaviour is common in organisations: a procurement manager may select the first supplier meeting minimum criteria rather than exhaustively comparing all options.

Intuitive Decision-Making:

- Experienced managers often rely on intuition — subconscious pattern recognition developed over years of practice. Intuitive decisions are fast and can be effective in familiar, time-pressured situations.
- However, intuition is susceptible to personal biases and can lead to poor decisions when situations are novel or highly complex.

Heuristics and Cognitive Biases (Kahneman):

- Daniel Kahneman's dual-process theory (System 1 and System 2 thinking) explains that human cognition operates on two levels: fast, automatic intuition (System 1) and slow, deliberate analytical reasoning (System 2).

- Availability Heuristic: People overweight information that comes easily to mind, leading to overestimation of risks that are memorable or recent.
- Anchoring Bias: Initial information disproportionately influences subsequent judgements — e.g., an initial salary offer "anchors" negotiations.
- Confirmation Bias: Tendency to search for and favour information that confirms pre-existing beliefs, while ignoring contradictory evidence.
- Overconfidence Bias: Overestimation of one's own accuracy — common among entrepreneurs and executives making projections.

Group Decision-Making:

- Groups often outperform individuals in complex decisions by pooling diverse knowledge and perspectives. However, group processes introduce their own pathologies.
- Groupthink (Janis, 1982): A phenomenon where the desire for harmony or conformity within a group overrides realistic appraisal of alternatives. Symptoms include illusion of invulnerability, collective rationalisation, and self-censorship.
- The Delphi Method: A structured communication technique that aggregates expert opinions through iterative rounds of questionnaires and controlled feedback, reducing groupthink while leveraging collective expertise.
- Nominal Group Technique: Individuals generate ideas independently before sharing, then discussion and voting occurs — balancing individual creativity with group input.

Model	Assumptions	Strengths	Limitations
Rational Model	Complete information, clear objectives, full evaluation of alternatives	Systematic and objective; maximises expected outcomes	Unrealistic; cognitively impossible in most real situations
Bounded Rationality (Simon)	Limited information and cognitive capacity; satisficing behaviour	Realistic and practical; reflects actual decision behaviour	May result in suboptimal or mediocre choices over time

Model	Assumptions	Strengths	Limitations
Intuitive Decision-Making	Relies on experience and pattern recognition	Fast; effective for experienced managers in familiar contexts	Susceptible to bias; unreliable in novel situations
Group Decision-Making	Multiple perspectives improve quality; collective ownership	Richer information; greater acceptance of decisions	Groupthink risk; time-consuming; potential for conflict

Self-Reflection



1. Describe a business decision where cognitive bias may have led to a poor outcome. How could structured decision-making have helped?

3

Diversity and Inclusion in the Workplace

Diversity refers to the presence of differences among members of a group or organisation — encompassing demographic characteristics (age, gender, ethnicity, religion), cognitive styles, functional expertise, and cultural backgrounds. Inclusion refers to the extent to which all individuals feel valued, respected, and able to fully contribute within an organisation.

Types of Diversity:

- **Demographic Diversity:** Variations in observable characteristics such as age, gender, race, ethnicity, and religion. In Malaysia's multiracial society, demographic diversity is an inherent organisational reality.
- **Cognitive Diversity:** Differences in perspectives, problem-solving approaches, and information processing styles. Research suggests cognitive diversity strongly predicts innovation and team performance.
- **Functional Diversity:** Variation in professional background, expertise, and organisational function. Cross-functional teams harness functional diversity for complex project work.

The Business Case for Diversity and Inclusion:

- McKinsey's "Diversity Wins" reports (2020, 2023) consistently demonstrate that companies in the top quartile for gender and ethnic diversity are significantly more likely to outperform financially.
- Diverse teams generate more creative solutions by combining different viewpoints — particularly important in product development, marketing, and innovation.
- Inclusive workplaces report lower turnover, higher employee engagement, and stronger employer brand attractiveness.
- From a customer perspective, diverse teams better understand and serve diverse markets — a critical advantage in multicultural ASEAN economies.

Malaysian Workforce Diversity — Multicultural Context:

- Malaysia's workforce comprises three major ethnic groups (Malay/Bumiputera, Chinese, Indian) alongside significant expatriate and migrant worker populations — creating one of Asia's most naturally diverse labour environments.
- Government policies such as the New Economic Policy (NEP) and its successors have historically shaped workforce composition, with affirmative action provisions for Bumiputera participation in corporate sectors.
- Forward-thinking Malaysian companies — including Maybank, CIMB, and Petronas — have developed explicit DEI policies covering gender parity in leadership, disability inclusion, and generational diversity.
- The TalentCorp Malaysia "Women Career Comeback Programme" and "Return to Work" initiatives demonstrate national-level commitment to improving gender diversity in employment.

Challenges and Best Practices:

- Tokenism — appointing a small number of diverse individuals without genuinely changing organisational culture — remains a risk when D&I is treated as a compliance exercise rather than a strategic priority.
- Unconscious bias in recruitment, performance appraisal, and promotion decisions can systematically disadvantage diverse employees even in organisations with formal diversity policies.

- Best practice: Structured interviews, blind CV screening, diverse hiring panels, and regular pay equity audits help operationalise D&I commitments.
- Psychological safety — where employees feel safe to speak up without fear of judgment — is a prerequisite for inclusion to generate genuine business value.

Dimension	Description	Business Impact	Malaysian Example
Gender Diversity	Equal representation and opportunity for all genders	Improved decision quality; reduced groupthink	Maybank's women leadership target: 40% by 2025
Ethnic Diversity	Inclusion of employees from all racial and ethnic backgrounds	Broader market understanding; cultural competence	Petronas's multicultural workforce across 35 countries
Age/Generational	Mix of Baby Boomers, Gen X, Millennials, and Gen Z	Knowledge transfer; innovation from diverse perspectives	TalentCorp's multigenerational workforce initiatives
Cognitive Diversity	Different thinking styles and problem-solving approaches	Greater creativity and innovation output	Cross-functional R&D teams in Malaysian tech companies

Self-Reflection



2. How should a Malaysian organisation design its recruitment policy to promote genuine diversity without tokenism?

Motivation refers to the forces within and outside a person that initiate, direct, and sustain work behaviour. Understanding motivation is central to managerial effectiveness — motivated employees exhibit higher performance, engagement, and organisational commitment.

Content Theories of Motivation:

- Maslow's Hierarchy of Needs (1943): Proposes five levels of human needs arranged hierarchically — physiological, safety, social/belonging, esteem, and self-actualisation. Individuals are motivated to satisfy lower-order needs before progressing to higher-order ones. In the workplace, this suggests moving beyond salary (physiological/safety) to address belonging, recognition, and growth.
- Herzberg's Two-Factor Theory (1959): Distinguishes between Hygiene Factors (extrinsic elements like salary, working conditions, job security — whose absence causes dissatisfaction but whose presence does not motivate) and Motivators (intrinsic elements like achievement, recognition, responsibility, advancement — which drive genuine satisfaction and performance).
- McClelland's Theory of Needs (1961): Focuses on three acquired needs — Achievement (nAch), Affiliation (nAff), and Power (nPow). High achievers prefer challenging tasks with clear feedback; power-motivated individuals seek influence and leadership; affiliation-motivated people prioritise relationships and belonging.

Process Theories of Motivation:

- Vroom's Expectancy Theory (1964): Motivation is determined by three cognitive assessments — Expectancy (belief that effort leads to performance), Instrumentality (belief that performance leads to reward), and Valence (the value placed on the reward).
$$\text{Motivation} = E \times I \times V.$$

- Adams' Equity Theory (1965): Employees compare their input-to-output ratio with comparable others. Perceived inequity (either under-reward or over-reward) creates tension that motivates corrective action — such as reducing effort, seeking pay increases, or leaving the organisation.
- Locke's Goal-Setting Theory (1968): Specific, difficult, and accepted goals lead to higher performance than vague or easy goals. SMART goal-setting frameworks operationalise this theory in performance management systems.

Intrinsic vs Extrinsic Motivation:

- Intrinsic motivation derives from the inherent satisfaction of performing an activity — curiosity, mastery, purpose. It is associated with creativity, learning, and sustained performance.
- Extrinsic motivation comes from external rewards — pay, bonuses, promotion, recognition. While effective for routine tasks, excessive extrinsic rewards can "crowd out" intrinsic motivation (Deci & Ryan, self-determination theory).
- In knowledge work and creative industries, organisations increasingly focus on purpose-driven motivation, autonomy, and mastery (Pink's Drive, 2009).

Motivation in Post-Pandemic Remote/Hybrid Work:

- The shift to remote and hybrid work has disrupted traditional motivational mechanisms — supervision, social norms, physical workspace cues — requiring managers to rethink how they motivate distributed teams.
- Key challenges include maintaining engagement without physical presence, combating "Zoom fatigue", ensuring equitable recognition across remote and on-site employees, and managing autonomy versus accountability.
- Malaysian organisations that successfully navigated the transition offered flexible hours, invested in digital productivity tools, and strengthened communication — addressing both hygiene factors and intrinsic motivators.

Theory	Author	Key Concept	Application in Organisation
Hierarchy of Needs	Abraham Maslow (1943)	Five levels: physiological to self-actualisation	Design comprehensive reward systems addressing all need levels
Two-Factor Theory	Frederick Herzberg (1959)	Hygiene factors prevent dissatisfaction; motivators drive satisfaction	Improve job design; add responsibility, recognition, and growth
Theory of Needs	David McClelland (1961)	Achievement, affiliation, and power needs drive behaviour	Match job roles to dominant need profiles during selection
Expectancy Theory	Victor Vroom (1964)	Motivation = Expectancy × Instrumentality × Valence	Ensure clear performance-reward linkages and valued rewards
Equity Theory	J. Stacy Adams (1965)	Perceived fairness of input-outcome ratios relative to others	Conduct regular pay equity reviews; communicate reward rationale
Goal-Setting Theory	Edwin Locke (1968)	Specific, challenging goals drive superior performance	Implement SMART-based performance management systems

Self-Reflection



3. Apply Herzberg's Two-Factor Theory to explain why employees in a Malaysian bank might still be dissatisfied despite high salaries.

5

Team Dynamics in Modern Work Environments

Teams are the fundamental work unit in modern organisations. Understanding team dynamics — how teams form, function, and perform — enables managers to design effective teams, foster collaboration, and navigate the unique challenges of virtual and hybrid work environments.

Types of Teams:

- **Functional Teams:** Composed of members from the same functional department (e.g., Finance, HR, IT). Strong technical coherence but limited cross-functional perspective.
- **Cross-Functional Teams:** Bring together members from different departments to work on shared goals — common in project management, product development, and strategic initiatives. Rich in diverse perspectives but require strong coordination.
- **Virtual Teams:** Geographically distributed teams working primarily through digital communication technologies. Increasingly common post-2020, enabling talent access across borders but challenging in terms of communication, trust, and culture alignment.
- **Self-Managed Teams:** Autonomous teams with collective responsibility for planning, executing, and evaluating their own work — minimal traditional management oversight. Common in knowledge-intensive and agile organisations.

Tuckman's Team Development Stages:

- **Forming:** Members are introduced, roles are undefined, and the team is polite but uncertain. Leaders must provide direction, clarify purpose, and establish norms.
- **Storming:** Conflicts emerge as team members assert their perspectives and roles. This productive tension — if managed well — clears the path for genuine collaboration.

- Norming: The team establishes shared norms, roles become clearer, and cooperation improves. Trust and cohesion begin to develop.
- Performing: The team is fully functional, motivated, and delivering high-quality output. Interdependence and collective competence are evident.
- Adjourning (added 1977): The team disbands after completing its task. Reflection, recognition of contributions, and knowledge transfer are key activities.

Virtual Team Challenges and Best Practices Post-2020:

- Communication barriers: Absence of non-verbal cues and spontaneous interaction increases misinterpretation and reduces relational richness.
- Trust building: Swift trust theory suggests virtual team members must build trust quickly through competence demonstration and reliability rather than personal relationship-building.
- Time zone and cultural differences: Cross-border virtual teams in ASEAN must navigate multiple languages, national holidays, work rhythms, and cultural norms around hierarchy and communication.
- Best practice: Establish clear communication protocols (response time standards, preferred channels), schedule regular synchronous check-ins, use collaborative platforms (Miro, Asana, Teams), and invest in virtual team-building activities.

Psychological Safety (Google Project Aristotle):

- Google's Project Aristotle (2012–2016) studied 180+ internal teams and found that the single most important factor predicting team effectiveness was psychological safety — the belief that one can speak up, share ideas, and admit mistakes without fear of punishment or ridicule (Edmondson, 1999).
- Teams with high psychological safety reported more learning, innovation, and engagement. Conversely, fear-based team cultures suppress information sharing and creativity.
- Managers can cultivate psychological safety by modelling vulnerability, actively soliciting diverse input, responding constructively to failure, and explicitly rewarding candour.

Dimension	Virtual Teams	In-Person Teams	Hybrid
Communication	Mediated; text/video; asynchronous possible	Rich; face-to-face; immediate feedback	Mixed; risk of two-tier experience
Trust Building	Slower; based on task reliability and responsiveness	Faster; personal interaction accelerates trust	Requires deliberate equity in engagement
Collaboration	Requires intentional structure; strong tooling needed	Natural and spontaneous; proximity enables ad hoc interaction	Complex; risk of proximity bias favouring in-office staff
Management Challenge	Monitoring, isolation, digital fatigue	Supervision, space allocation	Equitable policies; consistent culture

Self-Reflection



4. What strategies would you implement to build cohesion in a virtual cross-functional team in a Malaysian MNC?

6 Organisational Communication

Communication is the lifeblood of organisations. Effective communication aligns employees with organisational goals, coordinates activity, builds relationships, and drives performance. Conversely, communication breakdowns are among the most commonly cited causes of project failure, conflict, and reduced morale.

Communication Channels and Richness Theory (Daft & Lengel, 1986):

- Media Richness Theory proposes that different communication channels vary in their capacity to convey information — referred to as channel richness. Richness is determined by the ability to handle multiple cues simultaneously, facilitate rapid feedback, establish a personal focus, and use natural language.
- Richest channels: Face-to-face interaction (highest richness — all cues available) and video conferencing. These are best for ambiguous, complex, or emotionally sensitive messages.
- Medium richness: Telephone, voice messaging, one-on-one chat. Suitable for moderately complex messages.
- Lean channels: Email, reports, formal memos, data dashboards. Best for routine, unambiguous information.

Barriers to Effective Communication:

- Filtering: Distortion or withholding of information as messages pass through hierarchical levels — subordinates may soften negative news for superiors.
- Information Overload: The volume of messages exceeds cognitive capacity to process them, leading to selective attention and missed communications.
- Selective Perception: Recipients interpret messages through their own frames of reference, interests, and expectations.
- Language and Jargon: Technical language, acronyms, and professional jargon can exclude or confuse recipients outside the sender's specialist domain.
- Cultural and Language Differences: In multicultural workplaces, different cultural communication norms (directness vs indirectness, high vs low context) create significant misunderstanding risks.

Digital Communication Tools in the Modern Workplace:

- Microsoft Teams and Slack have become the dominant synchronous/asynchronous collaboration platforms in knowledge work, integrating messaging, file sharing, video conferencing, and task management.

- Zoom emerged as the default video conferencing tool during the pandemic, but "Zoom fatigue" — cognitive overload from sustained video-based interaction — has prompted organisations to rethink meeting frequency and format.
- Effective digital communication requires new norms: response time expectations, meeting-free blocks, asynchronous documentation practices, and explicit communication of tone and intent.

Active Listening and Feedback:

- Active listening involves giving full attention, demonstrating understanding through verbal and non-verbal cues, asking clarifying questions, and reflecting back to ensure accuracy.
- Constructive feedback — timely, specific, behaviour-focused, and forward-looking — is a cornerstone of performance management and developmental coaching.
- "360-degree feedback" systems collect input from supervisors, peers, subordinates, and sometimes customers — providing comprehensive perspectives for leadership development.

Cross-Cultural Communication in ASEAN Context:

- ASEAN countries span a wide range of communication cultures — from relatively direct communication norms (Singapore, Philippines) to high-context, indirect styles (Malaysia, Thailand, Indonesia, Japan) where meaning is conveyed through implication, tone, and relationship.
- In high-context cultures, preserving "face" (muka in Malay; miànzi in Chinese) is paramount — direct criticism, public confrontation, or blunt refusal are typically avoided in favour of more subtle communication.
- Malaysian managers navigating ASEAN business environments must develop cultural intelligence (CQ) — the capability to adapt communication style, negotiation approach, and relationship-building behaviours across cultural contexts.

Case Study — Hybrid Work Communication Challenges at Malaysian GLC Companies (2023–2025):

Major Malaysian GLCs including Khazanah-linked companies and Petronas adopted hybrid work models following the COVID-19 pandemic. While productivity impacts were broadly neutral-to-positive, several communication challenges emerged: information silos between remote and office-based employees, inconsistent access to informal leadership communication, and reduced spontaneous cross-departmental interaction that historically drove knowledge sharing. Leading companies responded by redesigning communication architectures — implementing structured town halls, digital newsletters, and "open channel" messaging policies — to ensure all employees regardless of location received equitable access to organisational information.

SUMMARY

This topic explored current issues in organisational behaviour across five key dimensions. We began with the foundations of OB — its definition, three levels of analysis (individual, group, organisational), and the profound disruptions introduced by the COVID-19 pandemic.

Decision-making theory was examined through contrasting lenses: the rational ideal, Simon's bounded rationality and satisficing, Kahneman's dual-process theory and cognitive biases, and the challenges of group decision-making including groupthink and the Delphi method.

Diversity and inclusion emerged as both a social imperative and a business advantage — with particular relevance to Malaysia's multicultural workforce. Content and process motivation theories — from Maslow and Herzberg to Vroom and Adams — were applied to contemporary workplace challenges including remote and hybrid work environments.

Team dynamics were analysed through Tuckman's developmental model, the distinct challenges of virtual teams, and the critical role of psychological safety (Google Project Aristotle). Finally, organisational communication was examined through media richness theory, digital tool adoption, active listening, and the cross-cultural communication demands of ASEAN business contexts.

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Multiple Choice Questions (MCQS):

1. According to Herbert Simon's concept of bounded rationality, decision-makers in organisations typically:
 - A. Optimise all decisions by evaluating every possible alternative
 - B. Satisfice by choosing the first option that meets minimum acceptable criteria
 - C. Rely exclusively on intuition and gut feeling
 - D. Delegate all significant decisions to group committees

2. Herzberg's Two-Factor Theory distinguishes between hygiene factors and motivators. Which of the following is classified as a MOTIVATOR?
 - A. Monthly salary and bonuses
 - B. Safe and comfortable working conditions
 - C. Job security and employment contract
 - D. Opportunities for personal achievement and recognition

3. Google's Project Aristotle identified psychological safety as the most critical factor for team effectiveness. Psychological safety refers to:
 - A. Physical safety measures in the workplace
 - B. The belief that one can speak up and take risks without fear of punishment
 - C. Job security and protection from retrenchment
 - D. Insurance and healthcare benefits provided by the employer

4. In Tuckman's model of team development, which stage is characterised by the emergence of interpersonal conflicts as team members assert their perspectives and challenge each other's ideas?
 - A. Forming
 - B. Norming
 - C. Storming
 - D. Performing

5. Media Richness Theory (Daft & Lengel) would recommend which communication channel for delivering a difficult, ambiguous message to an employee about performance issues?

- A. A formal written email
- B. A departmental memo circulated to all staff
- C. A face-to-face meeting
- D. An anonymous digital survey feedback tool

Questions for Discussion

1. Drawing on at least two motivation theories covered in this topic, design a comprehensive motivational strategy for a Malaysian technology company that has transitioned to a permanent hybrid work model. What specific initiatives would you recommend?
2. Critically evaluate the business case for diversity and inclusion in the context of Malaysian organisations. To what extent can D&I initiatives drive competitive advantage, and what are the key obstacles to genuine inclusion in the Malaysian corporate environment?
3. Apply Tuckman's team development model to analyse the challenges faced by a newly formed virtual cross-functional team at a Malaysian bank. What interventions would you recommend at each stage to accelerate the team's progress toward high performance?

END OF TOPIC

TOPIC

6

**ORGANISATIONAL
PROCESSES, POWER,
POLITICS, CULTURE
AND CONFLICT**

LEARNING OUTCOMES

By the end of this topic you should be able to:

- Explain key organisational processes and their role in effectiveness
- Analyse power and political dynamics in organisations
- Evaluate organisational culture using Schein's model
- Apply conflict resolution strategies in organisational settings



LO Learning Objectives

By the end of this topic you should be able to:

- **Identify the bases of organisational power** and evaluate their ethical implications.
- **Analyse political behaviour in organisations** and its consequences for culture and performance.
- **Explain how organisational culture is created, sustained, and changed** to support strategic goals.
- **Apply conflict management strategies** to improve organisational effectiveness and governance.

1 Organisational Processes

Organisational processes are the coordinated sets of activities, decisions, and information flows that transform inputs into valued outputs. Unlike the traditional functional view of organisations (which focuses on departmental silos), a process perspective views organisations as interconnected workflows that cut across functions to deliver value to customers and stakeholders.

Definition and Types of Processes:

- **Vertical Processes:** Formal processes flowing up and down the hierarchy — including planning and budgeting cycles, performance appraisal systems, and capital allocation mechanisms. These processes align activities with strategic objectives.
- **Horizontal Processes:** Cross-functional workflows that link activities across departments — such as order fulfilment (from sales to manufacturing to logistics to billing), new product development, or customer service resolution. Horizontal processes are where most value creation and most coordination challenges occur.

- **Boundary-Spanning Processes:** Processes that extend beyond the organisation's formal boundaries — including supply chain management, strategic alliances, joint ventures, and customer co-creation. These are increasingly important as organisations operate within complex ecosystems.

Process Mapping and Business Process Improvement:

- **Process mapping (or Business Process Modelling)** involves visually documenting the sequence, inputs, outputs, decision points, and responsibilities within a process. Common tools include flowcharts, swimlane diagrams, and BPMN (Business Process Model and Notation).
- **Business Process Improvement (BPI)** aims to streamline processes by eliminating non-value-adding steps, reducing cycle times, minimising errors, and improving customer experience.
- Popular BPI methodologies include Lean (focus on waste elimination), Six Sigma (focus on defect reduction), and Kaizen (focus on incremental continuous improvement).

Integration Mechanisms:

- As organisations grow in complexity, coordinating interdependent activities becomes a critical design challenge. Integration mechanisms are structural devices that facilitate cross-functional coordination.
- **Hierarchy and direct supervision** remain the simplest form of integration — a common manager resolves cross-departmental conflicts by hierarchical authority.
- **Liaison roles:** Designated individuals whose primary responsibility is to facilitate coordination between departments (e.g., a customer relationship manager bridging sales and technical teams).
- **Task forces and project teams:** Temporary cross-functional groups assembled to address specific coordination challenges or opportunities.
- **Integrator roles:** Full-time positions focused on integrating the activities of multiple units — common in matrix organisations and companies with complex product lines.

Mechanism	Description	When to Use	Example
Direct Supervision	Manager coordinates by giving instructions and resolving conflicts	Simple structures; small organisations	Owner-manager in Malaysian SME
Liaison Role	Individual bridges two departments to facilitate coordination	Moderate interdependence between specific units	IT-Business relationship manager
Task Force	Temporary cross-functional team for specific coordination challenge	Non-routine, time-bound problems requiring multi-unit input	Digital transformation steering committee
Integrator	Full-time role managing coordination across multiple units	High complexity; matrix or project-based organisations	Programme manager in Petronas E&P division

2 Power in Organisations

Power is the capacity to influence the behaviour of others. In organisations, power shapes who makes decisions, whose interests are prioritised, how resources are allocated, and how conflicts are resolved. Understanding power dynamics is essential for effective management and organisational navigation.

French and Raven's Five Bases of Power (1959):

- **Legitimate Power:** Authority derived from formal organisational position or role. A manager has the legitimate right to direct subordinates. This is position-based power and exists regardless of the individual's personal qualities.

- **Reward Power:** The ability to provide or withhold valued rewards — including salary increases, bonuses, promotions, preferred assignments, and recognition. Effective only to the extent that the rewards are genuinely valued by recipients.
- **Coercive Power:** The ability to administer punishment or consequences for non-compliance — including disciplinary action, demotion, or termination. Generates compliance but typically damages motivation, trust, and morale.
- **Expert Power:** Influence derived from specialised knowledge, skills, or expertise. A highly skilled IT specialist or financial analyst possesses expert power independent of their formal position. This form of power is increasingly significant in knowledge economies.
- **Referent Power:** Influence based on identification with, admiration of, or liking for a person. Charismatic leaders, respected mentors, and individuals with strong interpersonal skills wield referent power.

Formal vs Informal Power:

- Formal power is officially sanctioned through the organisational hierarchy — expressed through job titles, reporting lines, and authority delegations.
- Informal power exists outside the formal hierarchy — built through interpersonal networks, expertise, access to information, and personal reputation. In many organisations, informal power is as or more influential than formal power.
- Power mapping — identifying who holds formal and informal power and how they interact — is a useful tool for navigating organisational politics and managing stakeholders.

Empowerment and Shared Leadership:

- Employee empowerment involves delegating decision-making authority, resources, and accountability to employees at lower levels — enabling faster responses and greater employee motivation and ownership.
- Shared leadership distributes leadership responsibilities across team members based on expertise and context, rather than concentrating them in a single designated leader.

- Empowerment initiatives are more successful when accompanied by capability development (training), access to information, adequate resources, and accountability frameworks.

Power Distance in Asian Organisations (Hofstede):

- Hofstede's Power Distance Index (PDI) measures the extent to which less powerful members of society accept and expect unequal distribution of power. Malaysia scores among the highest globally on PDI (score: 100), reflecting deeply hierarchical organisational norms.
- In high power distance cultures, subordinates rarely challenge superiors, upward communication is filtered, and authority is respected primarily on the basis of position rather than performance.
- This has practical implications for employee empowerment, feedback culture, and participative management — all of which require careful adaptation in Malaysian organisational contexts.

Type	Source	Example	Sustainability
Legitimate	Formal organisational role and authority	CEO directing strategic decisions	Sustained as long as role is held
Reward	Control over valued incentives	HR Director controlling bonuses	Contingent on continued access to valued rewards
Coercive	Ability to punish non-compliance	Supervisor threatening disciplinary action	Erodes trust and motivation over time
Expert	Specialised knowledge and skills	CFO's financial expertise in strategy discussions	Highly sustainable; grows with experience
Referent	Personal charisma and admiration	Respected mentor influencing peers	Very sustainable; built on trust and relationship

Self-Reflection



1. How does high power distance in Malaysian organisational culture affect decision-making and employee empowerment?

3

Organisational Politics

Organisational politics refers to activities undertaken to acquire, develop, and use power and other resources to obtain one's preferred outcomes in situations of uncertainty or disagreement (Pfeffer, 1981). Political behaviour is an inevitable feature of organisational life — particularly wherever scarce resources, ambiguous goals, or competing interests are present.

Definition and Nature of Political Behaviour:

- Political behaviour encompasses any activity that is not formally required by the organisation but that influences (or attempts to influence) the distribution of advantages and disadvantages within the organisation.
- Common political behaviours include selectively sharing information, forming coalitions, managing stakeholder perceptions, lobbying for resources, and positioning oneself for career advancement.
- Political behaviour is more prevalent where resources are limited, decisions are subjective, performance criteria are ambiguous, and significant career stakes are involved.

Causes of Political Behaviour:

- Scarcity of resources: Competition for limited budgets, headcount, or preferential assignments creates incentives for political maneuvering.
- Ambiguity and uncertainty: Unclear goals, undefined performance criteria, and uncertain promotion processes provide opportunities for political interpretation.
- Organisational change: Periods of restructuring, merger, or leadership transition generate political activity as individuals compete to protect or improve their positions.

- Subjective performance evaluation: When performance assessment depends heavily on managerial discretion rather than objective metrics, political relationship management becomes more important.

Impression Management Techniques:

- Impression management involves conscious efforts to control how others perceive oneself — shaping one's professional image through behaviour, communication, and self-presentation.
- Common techniques include: conformity (aligning with influential others' views), self-promotion (highlighting achievements), flattery (complimenting influential stakeholders), exemplification (demonstrating dedication through visible effort), and supplication (appearing needy to elicit support).

Positive vs Negative Politics:

- Positive political behaviour includes: building genuine coalitions around shared organisational goals, advocating for change that benefits the organisation, mentoring others, and using influence to advance meritocratic outcomes.
- Negative political behaviour includes: sabotaging others' work, spreading misinformation, withholding critical knowledge, and prioritising personal advancement over organisational welfare.
- The difference often lies in intent (personal vs collective benefit) and method (transparent vs deceptive).

Managing Political Dynamics:

- Leaders can reduce dysfunctional political behaviour by increasing transparency in resource allocation and promotion decisions, clarifying performance criteria, creating open communication channels, and cultivating cultures of meritocracy and psychological safety.
- Building political intelligence (the ability to read political dynamics, identify stakeholders, and navigate power relationships) is recognised as a critical leadership competency.

Self-Reflection



2. Describe a scenario where political behaviour in an organisation could have both positive and negative outcomes.

4

Organisational Culture

Organisational culture comprises the shared values, beliefs, norms, and practices that shape how members of an organisation think, feel, and behave. Culture is often described as "the way we do things around here" — it provides a shared framework for interpreting situations, making decisions, and interacting with colleagues and stakeholders.

Schein's Three Levels of Culture (2010):

- Level 1 — Artefacts: The visible, tangible manifestations of culture — including physical workspace design, dress codes, organisational rituals, symbols, stories, and formal ceremonies. Artefacts are easy to observe but difficult to interpret without understanding the underlying values.
- Level 2 — Espoused Values: The officially stated beliefs, values, and norms that the organisation claims to hold — mission statements, codes of conduct, published values. These may or may not align with actual behaviour.
- Level 3 — Basic Underlying Assumptions: The deepest, most taken-for-granted beliefs and presuppositions that guide behaviour unconsciously — often invisible to members themselves. These are the true drivers of culture and the most difficult to change.

Strong vs Weak Culture:

- A strong culture is characterised by widely shared and deeply held values that powerfully guide employee behaviour — reducing the need for formal rules and supervision. Organisations like Toyota, Apple, and Malaysian firm AirAsia are cited as strong culture examples.

- A weak culture lacks this alignment — values are not consistently understood or shared, leading to greater reliance on formal policies, rules, and surveillance.
- Strong cultures can be double-edged: while they enable coordination and identity, they can also inhibit adaptation and diversity of thought — particularly problematic in times of disruption.

Hofstede's Cultural Dimensions in ASEAN Context:

- Geert Hofstede's model identifies six national cultural dimensions that shape organisational behaviour: Power Distance, Individualism vs Collectivism, Masculinity vs Femininity, Uncertainty Avoidance, Long-Term vs Short-Term Orientation, and Indulgence vs Restraint.
- ASEAN countries generally score high on Power Distance and Collectivism, moderate-to-high on Long-Term Orientation, and lower on Individualism — reflecting hierarchical, group-oriented, and relationship-centred workplace norms.
- These dimensions explain why performance appraisal systems developed in Western contexts may require significant adaptation in Malaysian or Indonesian organisational settings — where direct negative feedback conflicts with collectivist face-saving norms.

Cultural Change Management:

- Changing organisational culture is one of the most challenging management tasks — particularly at the level of basic underlying assumptions (Schein). It typically requires sustained leadership commitment, visible behavioural change from the top, structural reinforcement (aligning reward systems with new values), and time.
- Kotter's 8-Step Change Model and Lewin's Unfreeze-Change-Refreeze model are commonly applied frameworks for managing cultural transformation.
- In Malaysian organisations, cultural change must navigate national cultural values (harmony, hierarchy, collectivism) that may resist certain Western-derived management practices.

Dimension	Description	High Score Country	Low Score Country	Impact on Management
Power Distance	Acceptance of unequal power distribution	Malaysia (100)	Denmark (18)	Top-down decision-making; limited upward feedback
Individualism	Priority of individual vs group goals	USA (91)	Guatemala (6)	Individual performance vs team/collective reward focus
Masculinity	Competition, achievement vs care and quality of life	Japan (95)	Sweden (5)	Aggressive KPI culture vs collaborative, well-being focus
Uncertainty Avoidance	Tolerance for ambiguity and unknown situations	Greece (112)	Singapore (8)	High: need for rules/structure; Low: entrepreneurial agility
Long-Term Orientation	Future vs present/past orientation	China (87)	Pakistan (0)	High: strategic patience; Low: quarterly performance focus

Self-Reflection



3. Compare the organisational culture of a Japanese MNC subsidiary in Malaysia with a local Malaysian company. What challenges might arise in a merger?

5 Organisational Conflict

Conflict is an inherent aspect of organisational life — arising whenever individuals or groups perceive incompatible goals, interests, or resources. Contemporary OB distinguishes between conflict that damages organisations (dysfunctional) and conflict that, properly managed, can drive better decisions and stronger outcomes (functional).

Functional vs Dysfunctional Conflict:

- Functional (constructive) conflict: Stimulates genuine debate, surfaces hidden assumptions, promotes creative problem-solving, and challenges the status quo. Moderate levels of task conflict — disagreement about what to do — have been shown to improve team decision quality.
- Dysfunctional (destructive) conflict: Undermines teamwork, trust, and morale. Relationship conflict (interpersonal animosity and dislike) is consistently associated with negative team outcomes and should be actively managed.

Sources of Conflict:

- Task Conflict: Disagreements about the content and goals of the work — what should be done, what decisions should be made. Can be productive when managed constructively.
- Relationship Conflict: Interpersonal incompatibilities and personal animosities — typically dysfunctional and corrosive to team cohesion.
- Process Conflict: Disagreements about how work should be carried out — responsibilities, procedures, and resource allocation. Moderate levels can stimulate process improvement; high levels are disruptive.

Thomas-Kilmann Conflict Mode Instrument:

- The Thomas-Kilmann model identifies five conflict-handling styles based on two dimensions: Assertiveness (extent of self-interest protection) and Cooperativeness (extent of concern for the other party's interests).

- Competing (high assertiveness, low cooperativeness): Pursuing personal goals at others' expense. Appropriate for emergency decisions or when you are clearly right and the issue is critical.
- Collaborating (high assertiveness, high cooperativeness): Seeking a win-win solution through open dialogue and creative problem-solving. Ideal for complex, high-stakes conflicts where both parties' needs are important.
- Compromising (moderate on both dimensions): Finding a middle-ground solution where both parties concede something. Appropriate when parties have equal power and a time-bound resolution is needed.
- Avoiding (low assertiveness, low cooperativeness): Withdrawing from the conflict. Appropriate for trivial issues, when emotions need time to cool, or when one party needs more information.
- Accommodating (low assertiveness, high cooperativeness): Yielding to the other party's wishes. Appropriate when the issue is more important to the other party, or when preserving the relationship takes priority.

Negotiation Strategies:

- Distributive Negotiation (win-lose): Treats the negotiation as a fixed pie — any gain by one party is a loss to the other. Appropriate for one-time transactions with limited relationship value.
- Integrative Negotiation (win-win): Seeks solutions that expand the total value available — identifying complementary interests, trading concessions across issues, and building long-term relationships.
- Fisher and Ury's principled negotiation (Getting to Yes, 1981): Separate people from problems, focus on interests not positions, generate multiple options, and insist on objective criteria.

Style	Description	When Appropriate	Risk
Competing	Assert your position forcefully regardless of others	Emergencies; critical decisions requiring quick action	Damages relationships; resentment; reduced cooperation
Collaborating	Work together to find creative win-win solution	Complex problems where all parties' needs matter	Time-consuming; requires high trust and commitment
Compromising	Find middle ground acceptable to all parties	Equal power; time-sensitive; temporary resolution needed	Partial satisfaction; may resurface later
Avoiding	Withdraw from or postpone confrontation	Trivial issues; emotional de-escalation needed	Problems may intensify; decisions delayed
Accommodating	Yield to others' wishes and preferences	Relationship preservation; other party's needs are critical	Perceived as weak; one's own needs unmet

Self-Reflection



4. Apply the Thomas-Kilmann model to recommend a conflict resolution approach for a disagreement between R&D and Marketing departments.

6

Creating a Positive Organisational Culture

A positive organisational culture is not merely a pleasant working environment — it is a strategic asset. Culture that embodies ethical values, inclusivity, and strategic alignment enables superior talent attraction, employee engagement, innovation, and long-term performance. Building and sustaining such culture requires deliberate leadership and structural reinforcement.

Diversity and Inclusion in Culture:

- Cultures that genuinely value diversity — not merely tolerate it — demonstrate higher innovation outputs and stronger adaptation to changing markets. This requires moving from surface-level representation to systemic inclusion.
- Inclusive culture is characterised by: belonging (everyone feels valued), psychological safety (everyone can speak up), access (equal opportunity to contribute and advance), and representation (diversity at all levels including leadership).

Ethical Culture and Its Drivers:

- An ethical organisational culture is one in which ethical conduct is expected, modelled, rewarded, and enforced — reducing risks of fraud, misconduct, and reputational damage.
- Key drivers include: tone from the top (leaders visibly embodying ethical behaviour), transparent governance structures, whistleblowing mechanisms with genuine protection, and ethics training integrated into onboarding and development.
- In Malaysia, the Malaysian Anti-Corruption Commission (MACC) Corporate Integrity System Malaysia (CISM) provides a framework for organisations to embed anti-corruption culture.

Culture Alignment with Strategy:

- Culture and strategy must be mutually reinforcing. A misalignment — where espoused culture contradicts strategic demands — creates confusion, reduces execution effectiveness, and generates cynicism.
- The McKinsey 7-S framework recognises that strategy, structure, systems, staff, skills, style, and shared values must be aligned for organisational effectiveness.

Case Study — CIMB Group's Cultural Transformation "CIMB Forward" (2021–2024):

CIMB Group, one of Southeast Asia's leading universal banks, launched "CIMB Forward" — a strategic transformation encompassing digital acceleration, operational efficiency, and cultural change. The cultural dimension of the transformation focused on shifting from a bureaucratic, hierarchical culture toward a more agile, data-driven, customer-centric organisation. Key initiatives included a "One Culture" programme emphasising collaboration across business divisions and geographies, leadership capability programmes targeting middle management as cultural change agents, a revised performance management system rewarding collaboration and innovation alongside financial targets, and the introduction of psychological safety norms in team settings. By 2024, CIMB reported improvements in employee engagement scores and reduced inter-divisional friction — illustrating how deliberate cultural change management can support strategic transformation.

Case Study: Cahya Mata Sarawak (CMS) — Culture and Governance in a Sarawak Conglomerate

Cahya Mata Sarawak Berhad (CMS Group) offers a compelling Sarawak-based case of organisational culture evolution. Founded in 1968 and listed on Bursa Malaysia, CMS has grown from a cement manufacturer into Sarawak's largest diversified conglomerate with operations in construction materials, property development, road maintenance, oiltools, and financial services. CMS's corporate culture is encapsulated in its guiding philosophy, "Making Wise Decisions," which reflects Schein's second level — espoused values — that have over time become ingrained as basic assumptions across the organisation. The company's governance framework emphasises transparency and accountability to its majority shareholder, Sarawak Economic Development Corporation (SEDC), a Sarawak state government entity. CMS also demonstrates how power dynamics (French & Raven's legitimate and expert power) operate in Sarawak's unique political-business ecosystem, where state-linked companies must balance commercial objectives with developmental mandates. The cultural dimension of CMS's relationship with its Sarawakian workforce — diverse in ethnicity, language, and professional background — illustrates Hofstede's dimensions of power distance and collectivism in practice.

Students at i-CATS University College in Kuching can directly observe CMS's operations and culture through its campus presence at the Tunku Putra-HELP Kuching campus, which CMS co-founded as part of its CSR and educational investment strategy.

SUMMARY

This topic examined five interconnected dimensions of organisational life: processes, power, politics, culture, and conflict. Organisational processes — vertical, horizontal, and boundary-spanning — are the fundamental mechanisms through which work gets done and value is created. Integration mechanisms ranging from simple liaison roles to complex integrator positions help coordinate activity across organisational units.

Power in organisations was analysed through French and Raven's five power bases (Legitimate, Reward, Coercive, Expert, Referent), the distinction between formal and informal power, and the high power distance norms prevalent in Malaysian and ASEAN organisational contexts.

Organisational politics — the use of power to obtain preferred outcomes — was examined as a universal organisational phenomenon, distinguishing between positive political behaviour (building coalitions, advocating for organisational benefit) and negative political behaviour (manipulation, misinformation). Impression management techniques were analysed.

Schein's three-level model of organisational culture (artefacts, espoused values, basic assumptions) provided the analytical framework for understanding culture formation, strength, and change. Hofstede's cultural dimensions illuminated how national culture shapes management practice across ASEAN. Conflict was analysed through the Thomas-Kilmann model's five handling styles, alongside integrative and distributive negotiation approaches. The CIMB Forward case illustrated how cultural change management supports strategic transformation.

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Multiple Choice Questions (MCQS):

1. According to French and Raven's power taxonomy, a senior data scientist who influences strategic decisions primarily because of her superior technical knowledge is exercising which type of power?
 - A. Legitimate power
 - B. Coercive power
 - C. Expert power
 - D. Referent power

2. Schein's model of organisational culture identifies three levels. Which level represents the deepest, most difficult-to-change layer — the unconscious assumptions that guide behaviour?
 - A. Artefacts and symbols
 - B. Espoused values and beliefs
 - C. Basic underlying assumptions
 - D. Formal rules and procedures

3. In the Thomas-Kilmann conflict model, which style is characterised by high assertiveness AND high cooperativeness — seeking a genuine win-win solution?
 - A. Competing
 - B. Compromising
 - C. Accommodating
 - D. Collaborating

4. Malaysia scores extremely high (100) on Hofstede's Power Distance Index. What is the PRIMARY management implication of this in a Malaysian organisation?

- A. Employees frequently challenge managerial decisions
- B. Flat organisational structures are preferred over hierarchies
- C. Subordinates tend to accept authority without question and filter upward communication
- D. Decision-making is highly decentralised and participative

5. Which integration mechanism involves a full-time position specifically designed to coordinate activities across multiple interdependent organisational units — common in matrix organisations?

- A. Liaison role
- B. Task force
- C. Direct supervision
- D. Integrator role

Questions for Discussion

1. Using Schein's three-level model of organisational culture, diagnose the culture of a Malaysian government-linked company (GLC) you are familiar with. What artefacts, espoused values, and basic assumptions can you identify, and to what extent do these align with each other?
2. Critically analyse how Hofstede's Power Distance dimension affects leadership effectiveness in Malaysia. What specific management practices should be adapted for the Malaysian cultural context, and what are the trade-offs involved?
3. Apply French and Raven's five power bases to analyse the power dynamics in a scenario where a technically expert middle manager seeks to influence a senior executive's strategic decision without formal authority. What approach would you recommend?

END OF TOPIC

TOPIC

7

LEADERSHIP

*Lecturers: Prof. Dr. Dato Shazali Abu Mansor; Prof. Dr.
Dzulzalani bin Eden; Prof. Dr. Frank Kiong*

LEARNING OUTCOMES

By the end of this topic you should be able to:

- Distinguish between leadership and management
- Evaluate trait theories of leadership
- Apply behavioral theories to leadership development
- Analyse contingency and situational leadership theories
- Assess transformational and servant leadership in ASEAN context



INSPIRING MINDS, SHAPING FUTURE

LO Learning Objectives

By the end of this topic you should be able to:

- **Compare and contrast trait, behavioural, and contingency theories of leadership** and their relevance to modern organisations.
- **Evaluate transformational and transactional leadership styles** in diverse cultural and business contexts.
- **Apply situational leadership frameworks** to manage teams effectively across different organisational scenarios.
- **Assess ethical leadership practices** and their role in building trust and sustainable organisational performance.

1 Overview of Leadership

Leadership is one of the most studied and debated phenomena in management and organisational behaviour. Despite decades of research, no single universal definition has emerged — yet the practical importance of effective leadership in driving organisational performance, culture, and change is universally acknowledged. This topic systematically examines the major theoretical frameworks used to understand and develop leadership.

Definition: Leadership vs Management:

- Leadership involves influencing others toward the achievement of goals — it is about direction, inspiration, and creating conditions for others to perform and grow. Leadership is fundamentally about change and vision.
- Management involves planning, organising, coordinating, and controlling resources to achieve defined objectives within established systems and structures. Management is fundamentally about complexity and consistency.

- Kotter (1990) distinguishes: "Management is about coping with complexity. Leadership is about coping with change." Both are essential organisational competencies — not competing alternatives.
- Managers can be leaders if they inspire, and leaders can be managers if they plan and organise — but the distinction in emphasis, focus, and orientation remains practically important.

Importance in Strategic Management:

- Strategic leadership involves the ability to anticipate, envision, maintain flexibility, and work with others to initiate changes that will create a viable future for the organisation (Ireland & Hitt, 2005).
- Top management teams (TMTs) and boards of directors exercise strategic leadership through resource allocation, strategic direction-setting, culture shaping, and executive talent development.
- The quality of strategic leadership is consistently identified as the most powerful predictor of organisational performance in longitudinal studies across industries.

Leadership Pipeline in Organisations:

- Charan, Drotter and Noel's Leadership Pipeline model (2001) identifies six leadership passages: individual contributor, manager of others, manager of managers, functional manager, business manager, group manager, and enterprise manager.
- Each passage requires a fundamental shift in work values, time applications, and skill development — not merely an escalation of technical expertise. Failure at transitions (particularly the first — from individual contributor to manager) is a primary source of leadership ineffectiveness.

Dimension	Leadership	Management	Key Implication
Primary Focus	Creating change and vision	Maintaining order and consistency	Both are needed; neither alone is sufficient
Time Horizon	Long-term direction and strategy	Short-to-medium term plans and operations	Leaders set direction; managers execute it
Approach to People	Inspire, develop, and empower	Direct, coordinate, and control	Leadership builds intrinsic motivation; management ensures compliance
Source of Influence	Personal authority (charisma, expertise, vision)	Formal position authority (hierarchy, rules)	Leaders rely more on referent/expert power
Relationship to Status Quo	Challenges and transforms	Maintains and improves	Leadership drives innovation; management drives efficiency

2 Trait Theory of Leadership

Trait theory — the oldest approach to leadership research — is premised on the belief that effective leaders possess distinctive personal characteristics that differentiate them from non-leaders. While early trait research produced inconsistent results, modern personality research using the Big Five framework has reinvigorated trait-based leadership theory.

Early Trait Research (Stogdill):

- Ralph Stogdill's 1948 review of early trait studies identified several characteristics associated with effective leaders — including intelligence, alertness, insight, responsibility, initiative, persistence, self-confidence, and sociability.
- However, Stogdill's own analysis cautioned that no single trait consistently predicted leadership effectiveness across different situations — dealing a significant blow to simple "great man" theory.
- His 1974 review was more optimistic, identifying traits and skills that were somewhat more consistently associated with leadership effectiveness: task competence, interpersonal skills, and drive.

Big Five Personality Traits and Leadership:

- Meta-analyses by Judge et al. (2002) found that Big Five personality traits — Openness to Experience, Conscientiousness, Extraversion, Agreeableness, and Neuroticism (low) — collectively explained significant variance in both leadership emergence (becoming a leader) and leadership effectiveness (performing as a leader).
- Extraversion: The strongest predictor of leadership emergence — extraverts seek and occupy leadership positions more readily due to assertiveness, talkativeness, and dominance.
- Conscientiousness: The strongest predictor of leadership effectiveness — driven, dependable, achievement-oriented individuals deliver more consistent leader performance.
- Openness to Experience: Associated with transformational leadership — creative, intellectually curious leaders more effectively drive innovation and change.
- Low Neuroticism (Emotional Stability): Associated with stress resilience, composure under pressure, and consistent judgement.

Leader Emergence vs Effectiveness:

- Leader emergence refers to whether an individual is perceived as a leader and rises to leadership positions. Traits such as extraversion and dominance strongly predict emergence.

- Leader effectiveness refers to whether the leader achieves outcomes — which is more strongly predicted by conscientiousness, emotional intelligence, and situationally appropriate behaviour.
- Organisations risk promoting highly emergent but not necessarily effective leaders if selection processes rely on impression and visibility rather than performance and capability.

Limitations of Trait Theory:

- Trait theory cannot fully account for context — the same traits may be more or less effective depending on the situation, organisational culture, and follower characteristics.
- Traits are difficult to develop through training — raising questions about the practical value of trait-based selection without complementary behavioural development.
- Overemphasis on traits can perpetuate biases — particularly in favour of extraverted, dominant personality types that reflect Western leadership prototypes.

Trait	Description	Research Support	Application
Extraversion	Sociable, assertive, talkative, energetic	Strongest predictor of leadership emergence (Judge et al., 2002)	Use in identifying candidates with high leadership visibility potential
Conscientiousness	Organised, dependable, self-disciplined, achievement-driven	Strongest Big Five predictor of leadership effectiveness	Key criterion in leadership development programme selection
Openness to Experience	Intellectual curiosity, creativity, adaptability	Associated with transformational leadership style	Critical for innovation leadership and change management roles

Trait	Description	Research Support	Application
Emotional Stability	Low neuroticism; calm, resilient, emotionally consistent	Predicts leadership under high-stress conditions	Essential for crisis leadership and senior executive roles
Emotional Intelligence	Self-awareness, self-regulation, empathy, social skills	Goleman (1995): EI more important than IQ at senior levels	Core leadership competency in people-intensive roles

Self-Reflection



1. Do you believe leaders are born or made? Justify your position using evidence from trait theory research.

3 Behavioral Theories of Leadership

Behavioural theories shifted the question from "who leaders are" (traits) to "what leaders do" (behaviour). This shift had important practical implications — if effective leadership is a matter of learnable behaviours rather than innate traits, then leadership development through training becomes viable.

Ohio State Studies:

- Researchers at Ohio State University (late 1940s–1950s) identified two independent dimensions of leader behaviour using the Leader Behaviour Description Questionnaire (LBDQ).
- Initiating Structure: The degree to which leaders organise and define the tasks, roles, and work relationships of followers — communicating expectations, setting goals, establishing plans, and directing behaviour.
- Consideration: The degree to which leaders build mutual trust, respect subordinates' ideas, and show concern for followers' feelings and well-being.

- Critically, these two dimensions were found to be independent — a leader could be high or low on either dimension in any combination. High-high leaders (high initiating structure AND high consideration) generally achieved the best outcomes.

Michigan Studies:

- Concurrent research at the University of Michigan similarly identified two leadership orientations: Production-Oriented (task-focused, emphasis on goal achievement and technical processes) and Employee-Oriented (relationship-focused, emphasis on interpersonal relationships, employee needs, and development).
- Unlike Ohio State, Michigan researchers initially suggested these were opposite ends of a single continuum — though later research supported their independence.

Blake and Mouton's Managerial Grid:

- Robert Blake and Jane Mouton (1964) created the Managerial Grid — a two-dimensional model plotting leaders' concern for production (x-axis, 1–9 scale) against concern for people (y-axis, 1–9 scale).
- (1,1) Impoverished Management: Minimum effort — results in poor performance and low satisfaction.
- (9,1) Authority-Compliance Management: Maximum production concern, minimum people concern — task-driven, authoritarian.
- (1,9) Country Club Management: Maximum people concern, minimum production concern — pleasant atmosphere but low performance.
- (5,5) Middle-of-the-Road Management: Moderate concern for both — compromise, mediocre outcomes.
- (9,9) Team Management: Maximum concern for both production and people — Blake and Mouton's ideal leadership style, achieving superior results through engaged, committed employees.

Style	People Concern	Task Concern	Description	Ideal?
Impoverished (1,1)	Low (1)	Low (1)	Minimum effort; avoids both responsibility and relationships	No — poor outcomes
Country Club (1,9)	High (9)	Low (1)	Prioritises harmony and relationships over results	No — unsustainable without performance
Authority-Compliance (9,1)	Low (1)	High (9)	Results-driven autocrat; ignores employee welfare	No — burnout and resentment
Middle-of-the-Road (5,5)	Medium (5)	Medium (5)	Balances adequately; compromise-oriented	Partially — does not maximise potential
Team Management (9,9)	High (9)	High (9)	High performance through engaged, empowered team	Yes — Blake & Mouton's ideal style

Self-Reflection



2. Where would you place a typical Malaysian SME owner on Blake and Mouton's Managerial Grid? Justify your answer.

4

Contingency Theories

Contingency theories of leadership reject the idea of a universally best leadership style. Instead, they propose that leadership effectiveness depends on the match between a leader's style and the demands of the specific situation. The appropriate leadership style varies with situational variables including follower maturity, task structure, and positional power.

Fiedler's Contingency Model:

- Fred Fiedler (1967) proposed that leader effectiveness depends on the match between a leader's orientation (task-motivated vs relationship-motivated) and situational favourableness.
- Leader orientation is measured using the Least Preferred Co-worker (LPC) scale: high LPC scores indicate a relationship-motivated leader; low LPC scores indicate a task-motivated leader.
- Situational favourableness is determined by three factors: leader-member relations (quality of trust and respect), task structure (clarity of task procedures and goals), and position power (formal authority to reward/punish).
- Key finding: Task-motivated (low LPC) leaders perform better in very favourable and very unfavourable situations; relationship-motivated (high LPC) leaders perform better in moderately favourable situations.
- Practical implication: Rather than changing leadership style, Fiedler recommended changing the situation to match the leader — through job rotation, task restructuring, or team composition adjustment.

Situational Leadership Theory (Hersey & Blanchard):

- Paul Hersey and Ken Blanchard (1969) developed Situational Leadership Theory, arguing that the most effective leadership style depends on the developmental level (readiness) of the follower — defined by their competence (ability) and commitment (willingness).
- S1 — Directing (Telling): High task/Low relationship. For followers with low competence and low commitment. The leader provides specific instructions and closely supervises performance.
- S2 — Coaching (Selling): High task/High relationship. For followers with some competence but low commitment. The leader explains decisions, solicits input, and provides encouragement alongside direction.
- S3 — Supporting (Participating): Low task/High relationship. For followers with high competence but variable commitment. The leader facilitates and shares decision-making, providing encouragement and recognition.

- S4 — Delegating: Low task/Low relationship. For followers with high competence AND high commitment. The leader turns over responsibility for decisions and implementation.

Path-Goal Theory (House, 1971):

- Robert House's Path-Goal Theory holds that leaders enhance follower motivation and satisfaction by clarifying the path to goals, providing necessary support and rewards, and removing obstacles.
- Directive Leadership: Provides specific guidance, clarifies expectations, and establishes rules. Effective when tasks are ambiguous or followers have limited experience.
- Supportive Leadership: Shows concern for followers' needs, treats them as equals, and creates a supportive work environment. Effective when tasks are stressful or unsatisfying.
- Participative Leadership: Consults followers and incorporates their input in decisions. Effective when followers are highly skilled and value autonomy.
- Achievement-Oriented Leadership: Sets challenging goals and expects high performance. Effective with achievement-motivated followers in complex, ambiguous tasks.

Model	Key Variable	Leadership Styles	Application Context
Fiedler's Contingency	Situational favourableness (LMR, task structure, position power)	Task-motivated vs Relationship-motivated	Change situation to fit leader orientation; long-term placements
Situational Leadership (SLT)	Follower developmental level (competence × commitment)	S1 Directing, S2 Coaching, S3 Supporting, S4 Delegating	Adapt style to individual follower readiness; flexible day-to-day

Model	Key Variable	Leadership Styles	Application Context
Path-Goal Theory	Task and follower characteristics	Directive, Supportive, Participative, Achievement-oriented	Clarify paths; remove barriers; maximise expectancy and valence

Self-Reflection



3. A new Malaysian manager inherits a team of highly experienced professionals. Which leadership style from Situational Leadership Theory should she apply and why?

5

Transformational and Transactional Leadership

The transformational-transactional distinction, introduced by Burns (1978) and operationalised by Bass and Avolio (1994), represents one of the most influential frameworks in contemporary leadership research. It contrasts leaders who inspire extraordinary performance through vision and values against those who motivate through systematic performance-reward exchange.

Bass and Avolio's Full-Range Leadership Model:

- The Full-Range Leadership Model places leadership behaviours on a continuum from Laissez-Faire (passive, avoid decisions) through Transactional (active, exchange-based) to Transformational (proactive, vision-driven) — the last producing the highest follower performance and satisfaction.

The Four I's of Transformational Leadership:

- Idealised Influence (Charisma):** Transformational leaders act as role models — demonstrating high ethical standards, making personal sacrifices, and inspiring trust and admiration. Followers seek to emulate them.

- **Inspirational Motivation:** Articulating a compelling vision of the future, communicating high performance expectations with optimism and enthusiasm, creating shared meaning and purpose.
- **Intellectual Stimulation:** Challenging followers to question assumptions, approach problems from new angles, and engage in creative problem-solving. Creating a climate where intellectual risk-taking is safe.
- **Individualised Consideration:** Recognising each follower as an individual with unique needs, strengths, and development aspirations — acting as coach and mentor, delegating developmentally, and providing personalised feedback.

Transactional Leadership:

- **Contingent Reward:** Clarifying performance expectations and linking rewards directly to achievement. The most effective transactional behaviour — followers are motivated by clear understanding of what they get for desired performance.
- **Management-by-Exception (Active):** Monitoring performance and taking corrective action when deviations from standards occur — proactively identifying problems.
- **Management-by-Exception (Passive):** Intervening only after problems have become serious or standards have been violated — reactive rather than proactive.

Servant Leadership (Greenleaf, 1970):

- Robert Greenleaf's servant leadership model inverts the traditional authority pyramid — the servant-leader's primary orientation is to serve the needs of followers, enabling them to grow, develop, and perform at their best.
- Key servant leadership behaviours: listening, empathy, healing, awareness, persuasion, conceptualisation, foresight, stewardship, commitment to growth, and community building.
- Servant leadership has found particular resonance in faith-based organisations, non-profits, and cultures (including many ASEAN contexts) that value collectivism, humility, and relational leadership.

Dimension	Transformational	Transactional	Context
Core Mechanism	Inspiration, vision, values, and personal example	Performance-reward exchange and monitoring	Transformation needed for organisational change; transactional for routine operations
Follower Motivation	Intrinsic: purpose, growth, identity	Extrinsic: contingent reward and compliance	High-complexity, creative work benefits more from transformational approach
Leader-Follower Relationship	Developmental: leader grows followers	Contractual: defined performance expectations	Long-term development vs short-term performance management
Research Evidence	Consistently higher follower satisfaction and performance	Effective for maintaining standards; less so for exceeding them	Full-range model: augmentation effect — transformational adds value beyond transactional

Self-Reflection



4. Describe a Malaysian business leader (e.g., Tony Fernandes, Azman Hashim) and evaluate their leadership style using transformational theory.

6 Leadership in ASEAN Context

Leadership does not occur in a cultural vacuum. The GLOBE (Global Leadership and Organisational Behaviour Effectiveness) project — spanning 62 societies and over 17,000 managers — demonstrated that culturally endorsed implicit leadership theories (CLTs) significantly shape what leadership behaviours are expected, accepted, and effective in different national contexts.

Cultural Influences on Leadership (GLOBE Study):

- The GLOBE study identified six global leadership dimensions: Charismatic/Value-Based, Team-Oriented, Participative, Humane-Oriented, Autonomous, and Self-Protective.
- Across Southern Asian clusters (including Malaysia, Indonesia, India, Thailand), Humane-Oriented and Self-Protective leadership were most culturally endorsed — reflecting values of compassion, group cohesion, face-saving, and status consciousness.
- The Participative dimension scored lower in high power distance societies — explaining why autocratic or paternalistic leadership styles persist in Malaysian organisations despite contemporary management education advocating participative approaches.

Paternalistic Leadership in Asian Organisations:

- Paternalistic leadership — combining strong authority and control with genuine care and concern for subordinates' personal welfare — is prevalent in family-owned businesses and GLCs across Asia.
- Silin (1976) and Farh & Cheng (2000) identified three components of Asian paternalistic leadership: Authoritarianism (demanding unquestioning obedience), Benevolence (genuine personal concern for followers), and Morality (demonstrating personal virtue and integrity).

- In Malaysian organisations, benevolent and moral dimensions of paternalistic leadership are associated with positive employee outcomes (loyalty, satisfaction, extra-role behaviour), while pure authoritarianism is increasingly counterproductive among highly educated younger workers.

Women in Leadership — Malaysian Progress and Challenges:

- The Malaysian government mandated 30% female representation on boards of listed companies by 2020 — a target partially achieved. As of 2024, women represent approximately 26–28% of board members in Malaysian PLCs, up from under 10% a decade earlier.
- Despite progress, a glass ceiling persists at the C-Suite level — women represent fewer than 15% of CEO positions in Malaysian listed companies.
- Barriers include persistent gender stereotypes ("think manager, think male"), work-life balance challenges in cultures with limited paternity leave and childcare infrastructure, and informal male-dominated professional networks.

Digital Leadership in the Era of Industry 4.0:

- Digital leadership requires new competencies: technology fluency, data-driven decision-making, agile organisational design, cyber security awareness, and the ability to lead transformation at unprecedented speed.
- Leaders of the Industry 4.0 era must manage paradox: driving automation and efficiency (which displaces some workers) while simultaneously investing in human capability development and managing workforce transitions humanely.
- Malaysian leaders navigating Industry 4.0 operate within the government's Industry4WRD (Industry 4.0 National Policy, 2018–2025) framework — requiring alignment of digital investment, talent development, and cultural change.

Sarawak's post-2017 economic renaissance has been strongly shaped by the leadership of Premier Datuk Patinggi Tan Sri Abang Johari Openg. His leadership style demonstrates several characteristics of transformational leadership: he has articulated an inspiring vision for Sarawak as a "new Asian economic force", pursued intellectual stimulation through data-driven policy-making under the Post-Covid-19 Development Strategy (PCDS 2030), and demonstrated individualised consideration through inclusive development programmes for rural Sarawakians. Abang Johari's decision to establish PETROS (Petroleum Sarawak) to assert state control over oil and gas revenues represents bold, visionary leadership that prioritised long-term state economic sovereignty over short-term convenience. His authorisation of a RM100 billion strategic investment programme — including a new international airport and deep-sea port in Kuching — reflects the contingency leadership trait of matching leadership style to situational demands. For students at i-CATS University College, studying Sarawak's political-economic leadership provides a unique lens through which to apply leadership theories in a real, local context. Additionally, Datuk Haji Sharbini Suhaili, Group CEO of Sarawak Energy Berhad, exemplifies servant leadership within a state-owned enterprise — transforming SEB into a high-performance digital utility while maintaining a people-centred organisational culture.

Tan Sri Zeti Akhtar Aziz served as Governor of Bank Negara Malaysia (BNM) from 2000 to 2016 — guiding Malaysia's central bank through the global financial crisis (2008–2009) and multiple economic challenges with exceptional stability and credibility. Her leadership demonstrated several characteristics of transformational and authentic leadership: intellectual rigour and deep technical expertise (expert power) that commanded global respect; moral integrity and transparency in communications during periods of market stress; collaborative engagement with international financial institutions while maintaining Malaysia's policy autonomy; and nurturing of institutional capability through deep investment in human talent at BNM. Her tenure is widely credited with maintaining Malaysian financial stability and elevating BNM's regional and global standing. She exemplifies how principled, expert-driven leadership can sustain institutional effectiveness across multiple economic cycles.

SUMMARY

This topic traced the evolution of leadership theory from trait-based approaches to contemporary contextual frameworks. The fundamental distinction between leadership (coping with change through vision and inspiration) and management (coping with complexity through planning and control) provides the conceptual foundation for the topic.

Trait theory established that certain personal characteristics — particularly conscientiousness, extraversion, and emotional intelligence — are associated with leadership effectiveness, though no single trait profile guarantees success across all situations. Behavioural theories (Ohio State, Michigan, Blake-Mouton Managerial Grid) identified what effective leaders do — particularly the dual focus on task initiation/structure and people/consideration.

Contingency theories (Fiedler, Situational Leadership, Path-Goal) refined the understanding by showing that no single leadership style is universally effective — the appropriate style depends on follower readiness, task structure, and situational demands. Transformational leadership — characterised by the Four I's (Idealised Influence, Inspirational Motivation, Intellectual Stimulation, Individualised Consideration) — consistently outperforms transactional leadership in generating follower commitment, creativity, and extraordinary performance.

In the ASEAN context, cultural dimensions such as high power distance, collectivism, and paternalistic norms shape leadership expectations and effectiveness. The case of Tan Sri Zeti Akhtar Aziz illustrates authentic, expert-driven transformational leadership in the Malaysian institutional context. Digital leadership and women in leadership represent critical emerging priorities for Malaysian organisations.

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Multiple Choice Questions (MCQS):

1. Blake and Mouton's Managerial Grid proposes that the ideal leadership style is:
 - A. (9,1) Authority-Compliance — maximum task concern, minimum people concern
 - B. (1,9) Country Club — maximum people concern, minimum task concern
 - C. (5,5) Middle-of-the-Road — moderate concern for both task and people
 - D. (9,9) Team Management — maximum concern for both task and people

2. According to Hersey and Blanchard's Situational Leadership Theory, which style should be applied to a follower with HIGH competence but LOW commitment?
 - A. S1 Directing — high task, low relationship
 - B. S2 Coaching — high task, high relationship
 - C. S3 Supporting — low task, high relationship
 - D. S4 Delegating — low task, low relationship

3. The "Individualised Consideration" component of Bass and Avolio's transformational leadership framework refers to:
 - A. Setting challenging performance goals and expecting excellence
 - B. Stimulating followers to challenge assumptions and think creatively
 - C. Acting as a role model who embodies admired values and makes personal sacrifices
 - D. Recognising each follower's unique needs and acting as a personalised coach and mentor

4. Fiedler's Contingency Model proposes that task-motivated (low LPC) leaders perform BEST in which situational conditions?
 - A. Moderately favourable situations only
 - B. Highly unfavourable situations only
 - C. Both very favourable and very unfavourable situations
 - D. All situations, regardless of favourableness

5. The GLOBE study identified that Malaysia falls within the Southern Asian cluster. Which leadership dimensions are most culturally endorsed in this cluster?
- A. Participative and Autonomous leadership
 - B. Humane-Oriented and Self-Protective leadership
 - C. Charismatic and Achievement-Oriented leadership
 - D. Egalitarian and Individualistic leadership

Questions for Discussion

1. Critically evaluate whether the trait theory of leadership is a reliable and useful framework for selecting and developing leaders in contemporary Malaysian organisations. What are its strengths, and where does it fall short?
2. Using the Full-Range Leadership Model (Bass & Avolio), analyse the leadership style of a Malaysian business or political leader of your choice. Provide specific examples of their behaviour that align with transformational or transactional leadership dimensions.
3. A multinational company is establishing operations in Malaysia and wants to transfer its participative leadership culture from its European headquarters. Drawing on your knowledge of Malaysian cultural context (Hofstede, GLOBE), evaluate the challenges involved and recommend strategies for adaptation.

END OF TOPIC

TOPIC

8

BUSINESS PROCESS

*Lecturers: Prof. Dr. Dato Shazali Abu Mansor; Prof. Dr.
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LEARNING OUTCOMES

By the end of this topic you should be able to:

- **Explain key concepts in business process management (BPM)**
- **Analyse operations management principles and their strategic role**
- **Evaluate inventory management and supply chain strategies**
- **Apply new product development frameworks to business contexts**



INSPIRING MINDS, SHAPING FUTURE

LO Learning Objectives

By the end of this topic you should be able to:

- **Explain the core principles of operations management** and their strategic importance to value creation.
- **Evaluate inventory management techniques, including Just-in-Time (JIT)** for operational efficiency.
- **Analyse supply chain and logistics management strategies** in a global business context.
- **Apply new product and service development frameworks** to drive innovation and competitive advantage.

1 Introduction to Business Process Management

Business Process Management (BPM) is a systematic, disciplined approach to identifying, designing, executing, documenting, measuring, monitoring, and controlling both automated and non-automated business processes to achieve consistent, targeted results aligned with an organisation's strategic goals. BPM bridges the gap between strategy and operational execution — translating high-level objectives into concrete, measurable workflows.

BPM Definition and Scope:

- BPM encompasses the entire lifecycle of business processes: their design and documentation, their operational execution, continuous performance monitoring, and iterative optimisation.
- Unlike traditional project management (which focuses on one-time deliverables), BPM focuses on recurring, repeatable processes that form the operational backbone of the organisation.
- BPM spans both human-centric processes (requiring significant human judgement and interaction) and automated processes (executed by software systems with minimal human intervention).

Process Lifecycle:

- **Design:** Identifying and documenting current processes (as-is), defining target processes (to-be), and specifying performance metrics. Tools include process mapping, BPMN notation, and swimlane diagrams.
- **Modelling:** Simulating process behaviour to test designs, identify bottlenecks, and evaluate improvement scenarios before live implementation. Simulation software reduces the cost and risk of process changes.
- **Execution:** Deploying and operating the process — through human activity, workflow systems, ERP platforms, or robotic process automation (RPA). Process execution must be documented and monitored.
- **Monitoring:** Tracking key process performance indicators (KPIs) in real-time — cycle time, throughput, error rate, cost per transaction, customer satisfaction. Dashboards and business intelligence tools support this phase.
- **Optimisation:** Using monitoring data to identify improvement opportunities — through process simplification, automation, reallocation of resources, or complete process redesign. The cycle then restarts.

BPM vs Functional Management:

- Functional management organises work around specialised departments (Finance, HR, Operations, Marketing) with vertical accountability. While this builds deep functional expertise, it creates silos that fragment end-to-end processes.
- BPM adopts a horizontal, cross-functional view — following the process from its trigger event (e.g., customer order) to its outcome (e.g., product delivery and payment) regardless of which departments are traversed.
- The fundamental insight of BPM is that customer value is created by end-to-end processes, not by individual functional activities in isolation.

Business Process Reengineering (Hammer & Champy, 1993):

- BPR is the fundamental rethinking and radical redesign of business processes to achieve dramatic improvements in critical contemporary measures of performance: cost, quality, service, and speed.

- "Don't automate, obliterate" — Hammer's provocative dictum challenges organisations to question every assumption about how and why work is done, rather than merely improving existing processes.
- BPR differs from incremental improvement: it aims for order-of-magnitude improvement (50–90% cost reduction, 10× speed improvement) rather than marginal gains. This requires bold leadership, significant investment, and tolerance for disruption during transition.
- Criticisms of BPR: frequently used as cover for downsizing; high failure rate (estimated 50–70% of BPR projects fail to deliver target improvements); overlooks human and cultural factors.

Stage	Key Activities	Tools/Methods	Outcome
Design	Document current (as-is) and target (to-be) processes; define KPIs	BPMN, swimlane diagrams, value stream mapping	Clear process specifications and performance targets
Modelling	Simulate process to test designs and identify improvement scenarios	Process simulation software (e.g., Arena, Bizagi)	Validated design with predicted performance metrics
Execution	Deploy and operate processes in live environment	ERP systems, workflow engines, RPA tools	Functioning process producing intended outputs
Monitoring	Track KPIs in real time; identify deviations and exceptions	BI dashboards, process mining tools (Celonis)	Continuous performance visibility and early warning
Optimisation	Analyse data; implement improvements; reinitiate cycle	Lean, Six Sigma, DMAIC, A/B testing	Improved process performance; cycle continues

Operations management (OM) is the administration of business practices to create the highest level of efficiency possible within an organisation. It is concerned with converting materials and labour into goods and services as efficiently as possible to maximise the profit of an organisation. Operations management spans both manufacturing and service organisations.

Operations Strategy and Competitive Priorities:

- Operations strategy defines how an organisation's production/service delivery system should be configured to support the business strategy. Competitive priorities — the dimensions on which operations competes — include:
- Cost: Producing at the lowest possible total cost per unit — achieved through scale economies, automation, lean processes, and global sourcing. Key for commodity markets and cost-sensitive segments.
- Quality: Conformance to specifications (product quality) and customer perception of value (service quality). Measured by defect rates, customer satisfaction scores, and warranty claims.
- Speed (Delivery): Lead time from order to delivery — critical in time-sensitive markets such as e-commerce, healthcare, and just-in-time manufacturing.
- Flexibility: The ability to change product offerings, production volume, or production mix rapidly. Especially important in dynamic markets and custom/make-to-order environments.
- Dependability: Consistency and reliability in meeting delivery promises. Underpins customer trust and long-term relationships.

Lean Management Principles (Toyota Production System):

- Lean thinking, developed at Toyota and articulated by Womack & Jones (1996), identifies five principles: Specify value from the customer's perspective; map the value stream; create flow (eliminate interruptions); establish pull (produce only what is needed, when needed); and pursue perfection through continuous improvement.

- The eight wastes (TIMWOODS): Transportation, Inventory, Motion, Waiting, Overproduction, Over-processing, Defects, and Skills (underutilisation). Lean systematically identifies and eliminates these wastes.
- 5S workplace organisation: Sort (Seiri), Set in order (Seiton), Shine (Seiso), Standardise (Seiketsu), Sustain (Shitsuke) — creating organised, efficient, and visually managed workplaces.

Total Quality Management (TQM):

- TQM is a management philosophy and set of guiding principles that represents the foundation of a continuously improving organisation, where every aspect of management incorporates quality thinking.
- Core TQM principles: Customer focus, total employee involvement, process-centred thinking, integrated system, strategic and systematic approach, continual improvement, fact-based decision-making, and communications.
- ISO 9001 certification provides an internationally recognised framework for quality management systems — widely required as a supplier qualification criterion in global supply chains.

Six Sigma and DMAIC:

- Six Sigma is a data-driven quality methodology aiming to reduce process variation to a level where defects are extremely rare (fewer than 3.4 defects per million opportunities — corresponding to 6 standard deviations from the mean).
- DMAIC (Define-Measure-Analyse-Improve-Control) is the structured problem-solving methodology used in Six Sigma improvement projects. Each phase involves rigorous data analysis and cross-functional collaboration.
- In Malaysia, Six Sigma has been adopted by major manufacturers (Panasonic, Intel Malaysia), financial institutions (Maybank, RHB), and government service agencies to drive quality improvement.

Approach	Focus	Tools	Example
Total Quality Management (TQM)	System-wide quality culture and continuous improvement	Fishbone diagram, quality circles, Pareto chart	Proton's quality system under Geely partnership
Six Sigma / DMAIC	Statistical reduction of defects and process variation	Control charts, regression analysis, DMAIC cycle	Intel Malaysia's semiconductor yield improvement
Lean Management	Elimination of waste and non-value-adding activities	Value stream mapping, 5S, kanban, poka-yoke	Perodua lean assembly operations
ISO 9001	Standardised quality management system conformance	Process documentation, internal audit, management review	Malaysian SME exporters seeking global supply chain entry

Self-Reflection



1. How can lean principles help a Malaysian manufacturer reduce waste and improve profitability?

3

Inventory Management

Inventory management involves the supervision of non-capitalised assets (inventory) and stock items. It encompasses all aspects of managing a company's inventory — from purchasing, storing, and maintaining, to deciding when and how much to reorder. Effective inventory management balances the cost of holding inventory against the cost and risk of stockouts.

Types of Inventory:

- **Raw Materials:** Inputs purchased from suppliers and awaiting transformation in the production process. Maintaining adequate raw material inventory buffers against supply disruptions.
- **Work-In-Progress (WIP):** Goods in various stages of the production process — not yet finished products. High WIP levels may indicate production bottlenecks or long cycle times.
- **Finished Goods:** Completed products awaiting sale and delivery. Finished goods inventory enables responsive service but ties up capital and generates holding costs.
- **Maintenance, Repair, and Operations (MRO):** Consumable supplies and spare parts used to maintain production equipment and facilities — not incorporated into the final product.

Economic Order Quantity (EOQ) Model:

- The EOQ model determines the optimal order quantity that minimises the total cost of inventory — combining ordering costs (cost per order placed) and holding costs (cost of carrying inventory per unit per period).
- $EOQ = \sqrt{(2DS/H)}$, where D = annual demand, S = ordering cost per order, H = holding cost per unit per year. The model assumes constant demand, constant lead time, and no quantity discounts — assumptions that are often violated in practice.
- Despite its simplifying assumptions, EOQ provides a useful benchmark for order quantity decisions and forms the foundation for more sophisticated inventory models.

Just-In-Time (JIT) Inventory:

- JIT, developed within the Toyota Production System, aims to eliminate inventory waste by receiving goods only as they are needed in the production process — reducing holding costs, minimising waste, and exposing process problems that inventory buffers previously masked.
- JIT requires highly reliable suppliers, precise demand forecasting, and smooth production scheduling. Its effectiveness is maximised when combined with strong supplier partnerships and lean production practices.

- **Vulnerability:** The COVID-19 pandemic dramatically exposed the fragility of pure JIT systems — supply chain disruptions left manufacturers without buffer stock. Post-pandemic, many organisations are moving toward "JIT-plus" models with strategic safety stocks.

ABC Analysis:

- ABC analysis categorises inventory items by their value impact — applying the Pareto principle to focus management attention where it matters most.
- **Category A:** Top 10–20% of items by value, representing 70–80% of total inventory value. Require tight control, frequent review, and sophisticated forecasting.
- **Category B:** Middle tier items — moderate value and moderate control requirements.
- **Category C:** Bottom 50–60% of items by count but only 5–10% of total value. Managed with simpler, less intensive methods.

Safety Stock and Reorder Point:

- Safety stock is buffer inventory held to protect against variability in demand or supply lead time — preventing stockouts when demand spikes or deliveries are delayed.
- **Reorder Point (ROP)** = (Average demand during lead time) + Safety stock. When inventory falls to the ROP, a replenishment order is triggered.
- The optimal safety stock level balances the holding cost of excess inventory against the stockout cost (lost sales, production downtime, customer dissatisfaction).

Technique	Description	Advantage	Limitation
Economic Order Quantity (EOQ)	Optimal order quantity minimising total ordering + holding costs	Simple, systematic basis for order decisions	Assumes constant demand and lead time; rarely realistic
Just-In-Time (JIT)	Receive materials only when needed;	Eliminates waste; surfaces process	Vulnerable to supply disruption; requires

Technique	Description	Advantage	Limitation
	eliminate buffer inventory	problems; reduces holding costs	excellent supplier reliability
ABC Analysis	Classify inventory by value impact for differentiated management	Focuses management attention on high-value items	May neglect critical low-value items with high operational impact
Safety Stock	Buffer inventory against demand/supply variability	Prevents stockouts and production disruptions	Increases holding costs; may mask process problems
Vendor-Managed Inventory (VMI)	Supplier monitors and manages customer's inventory levels	Reduces customer ordering burden; optimises supply chain	Requires high trust and data transparency with supplier

Self-Reflection



2. A Malaysian SME faces frequent stockouts. Which inventory management technique would you recommend and why?

4

Supply Chain Management

Supply Chain Management (SCM) involves the active management of supply chain activities to maximise customer value and achieve a sustainable competitive advantage. It represents a conscious effort to develop and run supply chains in the most effective and efficient way possible — integrating supply and demand management within and across companies.

SCM Definition and Components:

- A supply chain encompasses every step involved in delivering a finished product or service to the customer — from raw material extraction through manufacturing, distribution, retail, and end-of-life management.
- SCM involves the coordination of five key flows: physical goods (materials and products), financial flows (payments and financial instruments), information flows (orders, forecasts, tracking), service flows (installation, maintenance, returns), and risk (shared or transferred risk among chain partners).
- The Council of Supply Chain Management Professionals (CSCMP) definition encompasses planning, sourcing, production, delivery, and returns — the five SCOR (Supply Chain Operations Reference) processes.

Upstream vs Downstream Supply Chain:

- Upstream supply chain: Activities and partners between the organisation and its raw material sources — including suppliers, sub-suppliers, and commodity producers. Managing upstream supply chain focuses on supplier qualification, contract management, and supply assurance.
- Downstream supply chain: Activities and partners between the organisation and its end customers — including distributors, wholesalers, retailers, and logistics providers. Managing downstream focuses on order fulfilment, distribution network design, and customer service.

Supply Chain Resilience Post-COVID-19:

- The COVID-19 pandemic exposed the fragility of highly optimised, lean, globally extended supply chains — particularly "just-in-time" models with single-source dependencies and minimal buffer stock.
- Key vulnerabilities exposed: geographic concentration risk (overreliance on single-country manufacturing, particularly China), single-source supplier dependencies, inadequate visibility into tier-2 and tier-3 suppliers, and insufficient financial reserves among supply chain partners.

- Resilience strategies: Diversifying supplier base across geographies ("China Plus One" strategy); building strategic inventory buffers for critical components; implementing multi-source procurement; investing in supply chain visibility technology; and developing supplier relationship depth through partnership models rather than purely transactional relationships.

ASEAN Supply Chain Integration:

- ASEAN's economic integration through the ASEAN Economic Community (AEC) is progressively reducing trade barriers and streamlining cross-border logistics — creating a regional supply chain ecosystem with combined GDP of over USD 3 trillion.
- Malaysia's strategic geographic position — connecting Southeast Asian, Northeast Asian, South Asian, and Middle Eastern trade routes — positions it as a key logistics hub within ASEAN supply chains.
- Malaysian manufacturers increasingly leverage ASEAN production networks — particularly for electronics, automotive components, and palm oil processing — with supply chains spanning Malaysia, Thailand, Vietnam, and Indonesia.

Green Supply Chain Management:

- Green SCM (GSCM) integrates environmental considerations into supply chain decision-making — encompassing green procurement (requiring supplier environmental standards), green manufacturing (reducing energy, water, and material waste), green logistics (optimising transportation emissions), and reverse logistics (product take-back and recycling).
- Regulatory drivers: Malaysian Environmental Quality Act, ISO 14001 environmental management standards, and ESG (Environmental, Social, Governance) disclosure requirements for listed companies.
- Business case: Sustainable supply chain practices reduce regulatory risk, improve brand reputation, attract ESG-conscious investors, and increasingly serve as prerequisites for entry into global value chains.

Strategy	Description	Cost	Risk	Sustainability
Lean SCM	Eliminate waste; minimise inventory; tight synchronisation	Low (when operating)	High vulnerability to disruption	Moderate — efficient but fragile
Agile SCM	Rapid response to demand volatility; flexible capacity	Higher (excess capacity)	Low operational risk	Moderate — flexibility- focused
Resilient SCM	Buffer stocks, multi- sourcing, redundancy	Higher holding and sourcing costs	Low supply chain risk	High — designed for long-term continuity
Green SCM	Environmental standards throughout chain	May be higher initially	Reduces regulatory and reputational risk	High — ESG alignment and competitive differentiation

Self-Reflection



3. How did COVID-19 expose vulnerabilities in global supply chains? Recommend two strategies for Malaysian manufacturers to build resilience.

5 New Product Development (NPD)

New Product Development (NPD) is the process of bringing a new product or service to market. It encompasses all activities from idea generation through concept development, prototyping, testing, launch, and post-launch review. Effective NPD is critical for organisational competitiveness — companies that consistently innovate generate disproportionate returns.

Stage-Gate Process (Cooper, 1990):

- Robert Cooper's Stage-Gate model structures the NPD process into a series of stages (where work is done) separated by gates (where management reviews progress and decides whether to continue, modify, or kill the project).
- Stage 0 — Discovery: Idea generation through customer research, market intelligence, competitive analysis, and employee innovation programmes.
- Stage 1 — Scoping: A quick, inexpensive preliminary investigation — evaluating strategic alignment, market attractiveness, and technical feasibility before significant resources are committed.
- Stage 2 — Build Business Case: Detailed investigation including customer research, competitive analysis, technical assessment, financial modelling, and risk analysis.
- Stage 3 — Development: Actual product development, prototype construction, manufacturing process design, and test market planning.
- Stage 4 — Testing and Validation: Product testing, customer trials, pilot production, and financial model validation with real data.
- Stage 5 — Launch: Full-scale commercialisation — production ramp-up, marketing execution, sales training, and distribution activation.

Design Thinking Methodology:

- Design Thinking (Stanford d.school, IDEO) is a human-centred innovation methodology with five phases: Empathise (deep customer research), Define (problem framing), Ideate (creative idea generation), Prototype (rapid, low-fidelity model building), and Test (iterative feedback collection).
- Design Thinking's non-linear, iterative nature and intense customer focus make it particularly valuable for services innovation, digital product development, and solutions to complex social challenges.
- Many Malaysian organisations — including CIMB, Grab, and government agencies — have incorporated Design Thinking into product and service development practices.

Agile Product Development:

- Agile development — originating in software engineering (Agile Manifesto, 2001) and increasingly applied to physical product development — emphasises iterative delivery, cross-functional self-organising teams, customer collaboration, and responsiveness to change over rigid upfront planning.
- Scrum framework: Development proceeds in "sprints" (typically 1–4 weeks) with defined deliverables; a product backlog is continuously refined based on feedback; daily standups ensure team alignment.
- Hybrid Stage-Gate/Agile models ("AgileGate") are increasingly popular — preserving governance checkpoints (gates) while enabling flexible, iterative development within each stage.

Stage	Key Activities	Decision Gate	Criteria
Stage 0 — Discovery	Idea generation; market scanning; customer insight	Gate 1: Idea Screen	Strategic fit; market potential; preliminary feasibility
Stage 1 — Scoping	Quick market and technical assessment; financial estimate	Gate 2: Second Screen	Market attractiveness; competitive advantage potential
Stage 2 — Business Case	Full market research; detailed financial model; risk analysis	Gate 3: Go to Development	Financial return; technical feasibility; risk acceptability
Stage 3 — Development	Product development; prototype building; process design	Gate 4: Go to Testing	Prototype meets specifications; production process validated
Stage 4 — Testing	Product trials; customer testing; pilot production	Gate 5: Go to Launch	Customer validation; financial projections confirmed
Stage 5 — Launch	Full commercialisation; production ramp-up; marketing execution	Post-launch Review	Revenue targets; market share; customer satisfaction KPIs

Self-Reflection



4. Apply the Stage-Gate model to the development of a new digital banking product by a Malaysian bank. What are the critical gates?

6

Digital Transformation and Future of Business Processes

Digital transformation represents the integration of digital technology into all areas of a business — fundamentally changing how organisations operate and deliver value to customers. For business process management, digital transformation offers unprecedented opportunities to automate, optimise, and reinvent processes — while simultaneously demanding new capabilities from the workforce.

Industry 4.0 Technologies:

- **Artificial Intelligence (AI) and Machine Learning:** Enabling process automation for cognitive tasks — including demand forecasting, anomaly detection in quality control, intelligent document processing, and dynamic pricing. AI-driven process optimisation can identify patterns invisible to human analysts.
- **Internet of Things (IoT):** Connected sensors embedded in machines, products, and infrastructure generate real-time data on process conditions — enabling predictive maintenance, real-time inventory tracking, and dynamic supply chain visibility.
- **Robotic Process Automation (RPA):** Software robots that replicate human interactions with digital systems — automating rule-based, high-volume, repetitive tasks (data entry, reconciliations, report generation) at scale and with zero error rates.
- **Blockchain:** Distributed ledger technology enabling tamper-proof, transparent, real-time record-keeping across supply chain participants — improving traceability, reducing fraud, and streamlining compliance in complex multi-party transactions.

Digital BPM (DBPM):

- Digital BPM extends traditional BPM by leveraging cloud computing, AI, low-code development platforms, and integrated data analytics to enable more agile, data-driven process management.
- Process mining tools (Celonis, Disco) automatically extract, visualise, and analyse process event logs from enterprise systems — providing unprecedented insight into how processes actually execute versus how they are designed.
- Intelligent process automation (IPA) combines RPA with AI to handle semi-structured data and decision-making, extending automation to more complex process steps previously requiring human judgement.

Malaysia's Industry4WRD Policy:

- Malaysia's National Policy on Industry 4.0 (Industry4WRD, launched 2018) aims to accelerate the adoption of Industry 4.0 technologies across Malaysian industries, with particular focus on the manufacturing sector — targeting higher productivity, quality, and competitiveness.
- Key pillars of Industry4WRD: technology adoption (automation, AI, IoT), talent development (STEM education, reskilling), financing (Industry4WRD Readiness Assessment, MIDA incentives), and enabling infrastructure (5G, Industrial Internet of Things platforms).
- The Malaysia Digital Economy Blueprint (MyDIGITAL, 2021) extends digital transformation goals beyond manufacturing to encompass services, agriculture, and public sector process digitalisation.

Automation Impact on Workforce:

- World Economic Forum estimates suggest that 85 million jobs globally may be displaced by automation by 2025, while 97 million new roles may emerge — representing a massive structural shift in job content and skills requirements.
- In Malaysia, DOSM and PEMANDU research indicates that roles involving routine manual and cognitive tasks face highest automation risk, while roles requiring creativity, complex problem-solving, social intelligence, and technical expertise are most resilient.

- Responsible organisations are investing proactively in reskilling and upskilling programmes — helping workers transition to new roles rather than facing retrenchment. This is both ethically important and pragmatically smart for retaining institutional knowledge.

Case Study — Proton Holdings BPM Transformation (2020–2025): Quality Improvement Post-Geely Partnership:

Proton Holdings Berhad's partnership with Chinese automaker Geely (since 2017) represented a fundamental transformation of the national carmaker's business processes, quality systems, and organisational capabilities. By 2020–2025, major BPM transformations were evident across multiple domains: Manufacturing process overhaul at the Tanjung Malim facility, implementing Geely's manufacturing excellence standards (derived from Volvo quality systems) — dramatically reducing defect rates and improving build quality to international standards. Digital manufacturing: Implementation of Industry 4.0 practices including automated quality inspection systems using AI-powered visual inspection, IoT-connected production lines, and real-time process monitoring dashboards. Supply chain restructuring: Rationalisation of supplier base from approximately 350 to fewer than 200 core suppliers, implementing more rigorous quality certification requirements and collaborative development programmes. Results: Proton's sales recovery (exceeding 100,000 units in 2020 for the first time in years), improved J.D. Power quality rankings, and successful product launches (Proton X50, X70, S70) demonstrate that systematic BPM transformation, supported by technology transfer and capability building, can revitalise organisational competitiveness.

Case Study: Sarawak's Industry4WRD and Digital Business Process Transformation

Sarawak's Industry4WRD roadmap, aligned with Malaysia's national Industry 4.0 policy, provides a rich context for understanding BPM in practice. The Sarawak Manufacturing Association (SMA) and SDEC have collaborated to support SMEs in adopting digital technologies — including robotics, IoT sensors, and AI-driven quality control — to improve operational efficiency.

Shin Yang Group, one of Sarawak's largest private conglomerates operating in timber, shipping, construction, and retail, has undertaken significant BPM improvements: implementing ERP systems to integrate supply chain, finance, and HR operations; deploying digital monitoring systems for its timber supply chain to comply with international sustainability certifications; and using data analytics to optimise vessel routing for its shipping business. Additionally, Sarawak Energy Berhad's digitalisation journey — branded as the Sarawak Energy Excellence (SEE) programme — represents a large-scale BPM transformation in a state-owned utility, encompassing smart grid technology, predictive maintenance using IoT, and digital customer service platforms. These Sarawak examples demonstrate that BPM transformation is not limited to manufacturing — it spans energy, logistics, retail, and government services, all critical to Sarawak's PCDS 2030 vision of becoming a high-income digital economy.

SUMMARY

This topic examined business process management as a strategic discipline spanning process design through digital transformation. BPM's five-phase lifecycle — Design, Modelling, Execution, Monitoring, and Optimisation — provides a systematic framework for creating value through well-managed processes. Business Process Reengineering (Hammer & Champy) represents the radical end of the process improvement spectrum, targeting dramatic performance improvements through fundamental rethinking.

Operations management was analysed through the lens of competitive priorities (cost, quality, speed, flexibility, dependability) and three major quality management approaches: Lean (waste elimination through Toyota Production System principles), Total Quality Management (system-wide quality culture), and Six Sigma (statistical defect reduction through DMAIC).

Inventory management techniques — EOQ, JIT, ABC analysis, safety stock, and VMI — represent a range of approaches for balancing the cost of holding inventory against the cost and risk of stockouts. Supply chain management was examined in terms of resilience (critically tested by COVID-19), ASEAN integration, and green supply chain imperatives.

New product development was structured through Cooper's Stage-Gate model, Design Thinking, and Agile methodologies. Finally, digital transformation through Industry 4.0 technologies (AI, IoT, RPA, blockchain) and Malaysia's Industry4WRD policy framework positions business process management at the forefront of national economic competitiveness. The Proton case illustrated how systematic BPM transformation, enabled by technology partnership, can drive organisational revival.

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Multiple Choice Questions (MCQS):

1. Hammer and Champy's Business Process Reengineering (BPR) is best characterised as:
 - A. Incremental improvement of existing processes through continuous small changes
 - B. Fundamental rethinking and radical redesign of processes to achieve dramatic performance improvements
 - C. Automation of current processes without changing their underlying design
 - D. Statistical analysis of process variation using the DMAIC methodology

2. The Economic Order Quantity (EOQ) model aims to minimise:
 - A. Total annual inventory holding costs only
 - B. Total annual ordering costs only
 - C. The combined total of ordering costs and holding costs
 - D. Safety stock levels to prevent stockouts

3. In ABC inventory analysis, "Category A" items are characterised by:
 - A. The largest number of individual SKUs but lowest total value
 - B. The fewest number of items but the highest proportion of total inventory value
 - C. Medium value and medium control requirements
 - D. Items that are most frequently ordered and replenished

4. Cooper's Stage-Gate NPD process uses "gates" between each stage primarily to:
 - A. Accelerate product development by eliminating bureaucracy
 - B. Allow management to make informed Go/Kill/Hold decisions before committing further resources
 - C. Assign intellectual property rights to new product concepts
 - D. Transfer product responsibility from R&D to the marketing department

5. Malaysia's Industry4WRD national policy primarily focuses on:
- A. Expanding Malaysia's agricultural export markets in ASEAN
 - B. Accelerating Industry 4.0 technology adoption in the Malaysian manufacturing sector
 - C. Reforming Malaysia's financial regulatory framework for digital banking
 - D. Developing Malaysia's creative and cultural industries

Questions for Discussion

1. Critically compare Business Process Reengineering (BPR) and Lean Management as approaches to process improvement. Under what circumstances would you recommend each approach to a Malaysian manufacturing company, and what change management considerations are most critical for success?
2. COVID-19 exposed significant vulnerabilities in global just-in-time supply chains. Drawing on specific examples from Malaysian industries, analyse these vulnerabilities and recommend a resilience strategy that balances efficiency with risk management for a Malaysian electronics manufacturer.
3. Apply Cooper's Stage-Gate model to a product or service innovation of your choice in the Malaysian context. Identify the most critical gate decisions in the process, explain what criteria should govern each gate decision, and discuss how an Agile approach might be integrated to improve the model's responsiveness.

END OF TOPIC

ANSWER KEYS

Keys to the Multiple-Choice Questions

Topic 1: Strategic Management

1-B 2-C 3-A 4-D 5-B

Topic 2: Environmental Screening and Scanning

1-C 2-A 3-B 4-D 5-C

Topic 3: Levels of Strategies

1-B 2-C 3-A 4-D 5-B

Topic 4: Strategy Formulation

1-A 2-B 3-C 4-D 5-A

Topic 5: Current Issues in Organisational Behaviour

1-B 2-C 3-A 4-B 5-D

Topic 6: Organisational Processes, Power, Politics, Culture and Conflict

1-C 2-B 3-A 4-D 5-C

Topic 7: Leadership

1-A 2-C 3-B 4-D 5-C

Topic 8: Business Process

1-B 2-A 3-C 4-B 5-D

SAMPLE ASSESSMENTS

Sample Assessment 1: Individual Assignment (CA1)

This assignment assesses your ability to apply strategic management frameworks to a real organisation.

Instructions:

- Select a Malaysian publicly listed company from Bursa Malaysia.
- Conduct a comprehensive environmental analysis using PESTEL and Porter's Five Forces.
- Perform a SWOT analysis and develop a TOWS matrix with four strategic options.
- Evaluate the company's current strategy using Rumelt's criteria.
- Recommend a strategic direction with supporting rationale.
- Your report should be 3,000–4,000 words, APA 7th edition referencing.

Sample Assessment 2: Case Study Analysis (CA2)

Read the following case study and answer the questions below.

Case: Proton Holdings — Strategic Revival through the Geely Partnership

In 2017, Proton Holdings Berhad entered into a strategic partnership with Zhejiang Geely Holding Group, with Geely acquiring a 49.9% stake. This partnership was seen as a critical lifeline for Malaysia's national car manufacturer, which had been struggling with declining sales, quality issues, and intensifying competition from Toyota, Honda, and Perodua. Post-2017, Proton launched a series of new models (X70, X50, X90), improved quality management systems, and expanded into export markets including Thailand, Singapore, and Pakistan. By 2023, Proton had reclaimed its position as Malaysia's best-selling car brand, surpassing Toyota for the first time in over a decade.

1. Analyse Proton's strategic position before the Geely partnership using Porter's Five Forces. (25 marks)

2. Evaluate how the Geely partnership addressed Proton's strategic weaknesses. Apply the RBV/VRIN framework in your analysis. (25 marks)
3. Identify the level(s) of strategy employed by Proton post-2017. Justify your classification. (20 marks)
4. As a strategic consultant, recommend two additional strategies for Proton to sustain its competitive advantage in 2025-2030. Apply relevant frameworks. (30 marks)

Sample Assessment 3: Final Individual Assignment

This final assignment requires you to integrate strategic management and organisational behaviour concepts to provide a holistic analysis of an organisation of your choice.

Task:

Select an ASEAN-based organisation that has undergone significant strategic change in the period 2020–2025. Prepare a strategic analysis report (4,000–5,000 words) that addresses the following:

- External environmental analysis (PESTEL + Porter's Five Forces) — 20%
- Internal analysis (SWOT + VRIN/RBV) — 20%
- Strategy formulation and evaluation (TOWS + Rumelt's criteria) — 20%
- Organisational behaviour analysis: leadership style, culture, and change management — 20%
- Business process and BPM alignment with strategy — 10%
- Recommendations and conclusion — 10%